Ep #3| WTF is E-commerce: Kishore Biyani, Udaan & Meesho Founders Reveal What Sells and What Doesn’t

[Speaker 2] (0:00 - 0:04)

If you want to meet Vidit, then you have to go to an airport in a burger shop.

[Speaker 1] (0:06 - 0:12)

I am Sadiya. Two seasons in India, both harvesting. Post harvesting, marriage starts.

Because that's the resource for them.

[Speaker 3] (0:12 - 0:16)

So people are just discovering something, and say, hey, this looks cool, I want to buy this.

[Speaker 2] (0:16 - 0:21)

What are you saying in summary? Like, if I'm building a product for today, what is that insight?

[Speaker 1] (0:21 - 0:27)

I've seen children of abandoned families doing phenomenally well, and building new categories and new products.

[Speaker 2] (0:31 - 0:42)

The first thing we were talking about before you arrived is, are the products from your e-commerce company as late as you arrived? Like, if you come late, then the products will also come late.

[Speaker 3] (0:43 - 0:44)

It's fine with me, you're taking me to the company.

[Speaker 2] (0:47 - 0:50)

We're kidding, we won't put this part in the podcast.

[Speaker 1] (0:51 - 0:54)

That's why he's saying that he's late because he was managing on time.

[Speaker 2] (0:57 - 1:21)

So hi guys, welcome everyone to episode three. I think to begin, maybe we can all speak about

what we do in one minute. And since we all know each other already, we can intersect and we can say different things we know about each other.

The idea is just to get everybody to know who we are. So let's start with Vidit.

[Speaker 3] (1:22 - 1:24)

Hey, I'm Vidit Athreya.

[Speaker 2] (1:25 - 1:30)

Not like that, not what you give in college interviews and stuff. What do you say then?

[Speaker 3] (1:38 - 1:49)

That's exactly what the college interview is. So I have to give something different, right?

[Speaker 2] (1:50 - 1:53)

Basically, you have to say the absolute blatant truth.

[Speaker 1] (1:54 - 1:59)

You're saying that anybody will find out about who you are. Something which is not on.

[Speaker 3] (2:00 - 4:24)

That's a good point. Hey, I'm Vidit Athreya. I grew up in Delhi.

In that part of Delhi that people don't know as much, which is Rohini. I was born in Meerut, so my entire family comes from Meerut and Hapur. I was the first engineer in my entire family.

What was everyone else doing? Farming. So both my mom and dad, like everyone, like all my cousins, most of them still do farming.

And so it was a very different upbringing. When I was growing up, my dad used to tell me there are only two kinds of professions. One, someone who does a government job.

Or second, who sits on the Parchun ki Dukhaan. So if you don't want to sit in a Parchun ki Dukhaan, you better study and... Parchun ki Dukhaan jyoti.

Kirana shop basically. So if you don't want to sit there, you better study and become an IAS officer someday. So all my life I was told this and I used to believe it for a very long time.

And I grew up, went to IIT Delhi, all of that. And when I went there, I realized the world is not bipolar, only two professions. And there are a lot more other things you can do.

And that's when I changed. After college, went to ITC. Operations, heavy role.

Very different. And from Delhi to Chennai. And I went into a factory where everyone in the factory used to speak only one language, which was Tamil.

And I used to go every day in the office. There used to be a morning stand-up meeting, which was about an hour in Tamil. And I'm standing there, like everyone knows English.

I'm saying, why don't we speak English? Because we are in Chennai, so we have to speak in Tamil. So I used to stand there and have no idea what's happening.

But I was forced to kind of pick up some bit. I would still say, the first two years of my career, it was very interesting. Because I was put into the most uncomfortable parts.

Sitting in Delhi, you can do all the nice stuff. You can do good analysis, you understand Excel. But managing a lot of people, going to a place where you're uncomfortable or everything.

Language, food, overtime, figuring out your way around this. It was pretty cool. If I look back, at that point, I got connected to a friend who was in Bangalore.

Bangalore was coming up, like your flip cards, in movies of the world. So moved here and eventually in 2015.

[Speaker 2] (4:24 - 4:24)

Same college, right?

[Speaker 3] (4:25 - 4:29)

Yeah, same college, but I think the... Which year did you pass out? 2012.

[Speaker 1] (4:29 - 4:31)

Yeah, it was like nine years.

[Speaker 3] (4:33 - 5:47)

Much, much later. So yeah, I think then I came to Bangalore. And like everyone else, got bitten on the penodium bug because there was so much to do.

We started Misho back in 2015. So now coming to what we do at Misho and why did we even pick what we're doing? So we started in 2015.

And doing this because we realized that e-commerce was coming up and everyone was talking about, Hey, why, how all of this is moving online. But e-commerce at that point in time was mostly smartphones and white goods selling online, right? Like which was not India retail to some extent.

Small businesses were a very core part of India retail was still primarily offline. And 85% of India retail happens via a lot of these long tail and branded small businesses. So we said, we'll bring them online.

If someone asked me how, I had no idea. But we said we will bring them online. And that's when we started Misho.

So yeah, we will complete eight years, been a very, very interesting journey. Now we have close to 140 million consumers who buy from us annually across all kinds of categories from about a million small businesses. So that's all.

[Speaker 2] (5:49 - 6:31)

Super. So I think Mr. Kishore Viyani, everybody knows broadly, you're an icon of selling both online and offline. And I think each one of us growing up in one way or another has some way or in one way or another experienced one product that you might have made or another.

So maybe, even though we have seen you, we don't know so much about your childhood, where you were born. I've met your family, I've come to your house, I've met your daughters and stuff like that. But maybe you can give us a minute or two.

Yeah. So I'm Kishore Viyani.

[Speaker 1] (6:32 - 8:18)

I formed a lot of consumer businesses called our group, the Future Group. And I was born in Bombay. Born and brought up in Bombay.

Studied commerce, was interested in marketing. So used to follow most of the advertising that used to happen then. And then build my own brand of trousers to start with.

Started with fabric business. How did you first think of starting a trouser brand? I think that was way back in...

Which year? I would say 91 or something. I was supplying garments, I was supplying fabric to the garment industry.

That time the brands were Charak, Bean, Double Bull. They were very different brands then. What year was this?

This must be 87. And people were just moving into from tailor-made to ready-made. Vidit was not even born.

Yeah. I feel odd one out here in terms of seniority. He is half way there.

I am little bit lower. A different world. I was born to a very conservative family.

We come from Rajasthan. Family was very religious, pious. I was an atheist.

Always, what do you call? I was known as a black sheep of the family. And contrarian thoughts on everything in life.

And so I thought I will not join the family business. Because we had a small wholesale fabric trading business that time. So when I joined, when I just graduated, I did some course in marketing.

I did my CA interns. I think in 5 years of college, I went to attend a class only once.

[Speaker 2] (8:19 - 8:37)

One class I attended in 5 years. Do you think there is some kind of a correlation between rebellious kids or kids who have grown up with more insecurity than usual? To how well they do later in life?

Do you think more rebellious, insecure end up doing better?

[Speaker 1] (8:39 - 9:06)

I believe that today my children are born in abundance. And to more democratic parents. I was not born to democratic parents.

And we were born in shortage era. So I think shortages or less availability does definitely make you work harder and make you expand your mind and thoughts. So I think abundance can create something else.

But what we got was not abundance in any which way.

[Speaker 3] (9:06 - 10:02)

He also doesn't come from abundance in a way. I don't. And by the way, to some extent, I agree with what you were just asking.

I believe I come from a family or I would say even when I was growing up, I was a very compliant child. So whatever my parents tell me, I do it. Until I come to college and suddenly I have an independent bent of mine.

Now I question everything. So until then I would say like my parents would make me do that puja every day. And I'm an atheist since college.

So everything changed. Because until then, I only saw a very small part of the world. And I

thought this is right and wrong and everything is very black and white.

And as you get exposed to more and more stuff, then some people are okay. You can say rebellious, I call it independent. But I feel it happens and it's definitely one input to doing something crazy.

Because if you do something which is by the book, it's very hard for you to challenge what has been happening for years.

[Speaker 1] (10:03 - 11:00)

But only one thing I observed as a common. Like he passed away in 2012 and you are somewhere in 80. But still the feeling of like I have grown in such a constrained, disciplined family.

Because how I see and that might be that's not the truth. But children, so these days we say that no, they have a lot. Might be you have the same feeling.

Hey, 2012 kid is having lots of access of information, infrastructure, better college, better education. But the feeling is similar. And it doesn't matter.

Like my grandfather was always saying that when I was studying, I was crossing river, walking this much kilometer and things like that. And when you were studying, he was saying that you guys have everything. And we believe no, no, this is also tough.

So I think that feeling is very common.

[Speaker 2] (11:00 - 11:23)

But do you think that is true then? Like say my parents, my mom was a music teacher and my dad was a bank employee. But do you think people who grew up in middle class upbringing, like myself or under, feel more insecure about things like money, things like having the freedom that can be associated with money.

And hence they overcompensate when they grow older?

[Speaker 3] (11:24 - 11:42)

I think money matters a bit lesser here. Like I, it's obviously when I was growing up, coming from a lower middle class family, like if it's a very top of mind thing to solve. But I don't think that leads to it.

Like very hard for me to attribute to it.

[Speaker 1] (11:42 - 12:07)

Right. I think if you go by data, it's very hard. Might be if we can share our perspective.

From the rebellious point of view, but I think that's not true. I think it's very regimental in nature. When you're in middle class, you have to study.

There is only one way you have to get into like some job, nice job, otherwise your marriage will not happen. Things like that. I think those are the main issue.

Might be for us it was never that issue. That's why you can see.

[Speaker 2] (12:07 - 12:39)

But by data, I'll tell you, we all invest in startups, right? Like each one of us. I didn't realize this for a long time.

But very organically, at least we formed a filter. By we, I mean different funds I'm a part of. That if somebody was a very entitled guy, if somebody was the son or a daughter of a very rich man, you would have this thing in your subconscious, which would make you very of investing in that startup.

Same. I've had the same thing. It's not true in that way.

[Speaker 1] (12:40 - 13:25)

I believe it's nature of, but they can excel in something else which nobody else can do. Some categories, they can excel much, much better. So we have built a lot into understanding this.

But I think abundance creates something else and shortages create something else. But rebelliousness definitely creates something. Without being a rebel, you can't.

Because as a rebellion, you like to destroy something and create something. No, I got into, I created, I went into business, created a fabric, which became quite popular. It was called stone wash at that time.

Then denim as a fabric came in. How did you create this fabric? I think there was a fashion which was going along.

And I did some course in weaving and I was very interested in textile fabric as such.

[Speaker 2] (13:26 - 13:34)

So how old were you when you were doing this course? 21, 22. Was it a thing back then to do a course in weaving and try to make a fabric?

I was trying to do everything.

[Speaker 1] (13:35 - 14:24)

I was not a great student or had inclination towards studies. My parents never knew whether I passed or failed also. So we were a joint family.

We were 13 of us in our age group. My father was six brothers. And if we all came and one of them didn't sleep also, nobody would notice.

So we lived very, very differently then. So I think the idea was to create something. And it started with creating that fabric, supplying to the garment industry, building denim, then building our own brand.

And then it kept on going on and on. So in terms of creation, it became like building brands, building retail formats, then getting into NBFC, logistic business, insurance, so multiple things, and then investing into a lot of entrepreneurs.

[Speaker 2] (14:24 - 14:39)

When was that moment when you really scaled? Like when you guys became really big? Because I remember growing up, your brands were everywhere.

Everyone of us knew you. You were on the cover of magazines. You were talking about that book, na?

[Speaker 1] (14:39 - 16:15)

There was one book. It was kind of Bible at that time to study the retail. I think if I look back, because I'm in a different state of mind or in terms of business at the moment.

So it might appear that I have done what people do in three generations. I created and I destroyed everything. So creation and destruction and maybe if there is a chance to create something more.

But it was a process which was fantastic because first was destroying your old thoughts, destroying your parents' thoughts, creating something out of that. And then destroying your thoughts again and again. Because we went into luxury and we went into masses.

We went to the lowest end of the population with a store format called Aadhaar, which is below 50,000 population. And we dealt with the highest end by creating something called Food Hall. And in terms of departmental stores, central to brand factories.

So we catered to a lot of audiences. And there was a lot of learning from like Hindustan Lever at that point of time. How do you create brands at every segment of the population?

So I think branding was something which interested us. And so we lettered many brands in the

retail formats. And so it was a journey.

I would say in 30 years we compounded at 30%. So it was for 30 years. We did grow every year.

And so but now it's a different journey. So another experience. We have become more philosophical than doing anything.

It's an incredible journey.

[Speaker 3] (16:16 - 16:27)

And out of all the things you could have done, like why Big Bazaar and FutureGrowth? How did you arrive at this is the thing, this is my calling? Was it just weaving thing which led to this?

[Speaker 1] (16:29 - 17:40)

Before creating Big Bazaar, I had a format in mind that we'll create a marketplace for brands. So central was originally conceptualized much before Big Bazaar for me. But then Big Bazaar came about.

I started visiting the bazaars and the huts which used to happen in small towns. So people used to take the markets. So we thought, why can't we create markets with that hustle and bustle in a city?

I had not seen Walmart then. I had not seen any other retail format. So we thought, let's try this.

And so then the idea was to build scale. So we opened three stores in 22 days so that we could build some volumes and some scale. So it was a market, hustle bustle.

We thought there should be a button brush effect. People should meet each other. People should, there should be crowd.

Because crowd can only get crowd. So it was a different experience then. But we must say that, sir, in this country, somebody who has thought of organizing retail and started at that scale and people started believing because your format was started working.

I think several formats and come, destroyed, will come again, futuristic and all. But you have given that genesis, retail can be organized.

[Speaker 2] (17:41 - 17:47)

Like the kids say today, he's like the OG of commerce. I call it father of organizing retail.

[Speaker 1] (17:49 - 18:43)

I think we have learned so much directly in that. Everything has a time. Somebody becomes a

catalyst to do that.

So I think we have done that for retail for sure. We got that opportunity to do it. And I think once you start looking at from consumer lens, you can create something much, much more.

Because you are looking at the consumer and creating something, not looking at yourself and creating something. So we created that consumer understanding. As a group, we have an organization which is called Future Brands, wherein we, from the last 15 years, every six months, we do a Bharat Darshan.

And we record every societal change happening in the country. That's very important. We record every lyrics written in the country.

Anything which becomes popular, we make it a point. So like when we used to get huge crowds in Big Bazaar stores, we went to Tirupati temple to understand how to manage crowds. So India is a fascinating country.

[Speaker 3] (18:44 - 18:47)

And what did you learn from Tirupati?

[Speaker 1] (18:47 - 19:06)

Tirupati has unbelievable management. It's crazy how to manage crowd or something. How do you create that lakhde ka rasta, make people stand in the queue, give them water, give them everything, make them patient.

And you learn from everywhere, everywhere. India has all the experiences which you can experience and learn from.

[Speaker 3] (19:06 - 19:07)

Wow.

[Speaker 2] (19:08 - 19:08)

Incredible.

[Speaker 3] (19:09 - 19:13)

Learning Tirupati to retail, huh? Should have been the title of the book.

[Speaker 1] (19:13 - 19:25)

My first retail store experience where we got inspired was Sarvana stores in Chennai. Where they sell idli and all? Everything they used to sell in one single place.

Sarvana Bhavan, right? Sarvana stores. Stores, because stores are big.

[Speaker 2] (19:25 - 19:32)

They used to sell utensils the most. Oh, I was thinking of Sarvana Bhavan. Sarvana Bhavan, that is a food…

[Speaker 1] (19:32 - 19:43)

That's a food thing, but the store is huge. Huge. Appliance sales, everything this.

Everything. So, Bidwadar was in fact conceptualized from inspiration of Sarvana more than anything else.

[Speaker 2] (19:44 - 19:45)

Aap bhi batayi aapne baare mein.

[Speaker 1] (19:46 - 19:47)

Yeah, like everybody.

[Speaker 2] (19:48 - 20:09)

So, I have to like preface this for context. Me and Sujit hang out a lot. We were together yesterday.

We travel together. If he was not married, people would have the wrong idea. We end up spending…

I think we travel at least once in two, three months somewhere together.

[Speaker 1] (20:10 - 20:11)

Yes, I think last one year.

[Speaker 2] (20:12 - 20:14)

So, I know him very well.

[Speaker 1] (20:16 - 21:37)

Let me say where I come from. Like Vidit was saying that I am from Bihar. So, I come from a place called Bhagua in Bihar.

It's a very small town. I have grown up there. I studied there till 12 in Hindi medium from Bihar board.

And I don't know how I have gone to IIT. Because I came to know about IIT only in… People say 12th.

We call it intermediate. So, it was a part of college at that time. When after 10th, you go to college.

And it's not 10 plus 2. It's intermediate, then BA, BSc, whatever. So, I have from Hindi medium converted to English just for exam.

Somehow landed in IIT Delhi. I never planned to go to IIT Delhi. I wanted to be in ITBHU.

Because I thought it's near my house. My language is Bhojpuri. And I will be the king of that campus.

Something happened. They say that star was saying something else. You have to go to Delhi.

I landed in Delhi. And that was my first big city. And I have exposed to like…

Okay, school and college are like this. Otherwise, our school's name was Atal Bihari Uchh Vidyalay Babua.

[Speaker 2] (21:39 - 21:40)

What was it? Tell him.

[Speaker 1] (21:41 - 21:52)

High school is called Uchh Vidyalay. So, Hindi is Uchh Vidyalay. So, I landed in IIT.

There was so much there that I did everything except studying.

[Speaker 3] (21:54 - 22:17)

The same thing happened to me also. So many things I never saw. I had a smaller school, I would say, until 12th.

When I came, I was like, what is all this? I have no idea. You have all kinds of sports.

You have all kinds of extra curriculars to do. So, you get exposed to this right after college or right after school. People go crazy.

So, I can totally connect with this feeling.

[Speaker 1] (22:17 - 28:55)

In India, people play cricket, badminton, etc. I went there and saw that there was a squash too.

And you will not believe, even billiards and all.

I was spending so much of time. By 2nd or 3rd year, I was in the institute. So, even I was playing billiards, pool.

So, like I said. Still got good marks in IIT. No.

What will you do? Someone will do something. Leave it.

But at that time, in Y2K, when you were passing in 2003, or 2001-2002, the whole job scenario was so bad. In campus, even in IIT, computer science students are not getting 2.5-3 lakh jobs. Otherwise, people go out.

All the MNCs come to campus. They take those first electrical, computer, and then rank wise. And even you are last from the bottom, you will get some job.

But that year, no one was getting a job. And it was a kind of, what to do? And then, somewhere I thought, I have not studied.

Let me study a little more. And I remember that my father used to say, do IAS. I said, okay.

Should I do IAS? I said, I think it's a calling for IAS. I wanted to become a UPSC.

Then I went. There I saw that you have to take some optional subjects. Like history, public art, geography.

You have to study all the general knowledge. And then you have to core subjects like physics, math. As a science boy, you can choose one.

Otherwise, you can choose any subject. I said, do I have to study all this? Then I spent almost six months there.

And then decided that this is not possible. And this is not my interest. Somehow, I decided to join some small firm, where I can learn.

Some of the friends have connected me to some person. He has agreed to take me as a co-founder. At that time, KPO.

In 2000, I'm talking about 2004, 2005. So we started a KPO. Taking a project, delivering the project.

We were like 25, 26 people. And doing that for almost like two and a half years. And in 2008, recession came.

No project, no money. And Sachin, in 2007. He was my one year junior in IIT, in the same hostel.

He said, come to Bangalore, we are starting. I said, we have also started. We have started and I don't want to go to Bangalore.

I was in love with that Delhi. I don't want to leave Delhi. I was settled there.

I said, okay. I think he got married early, in 2008. He called me for marriage.

And we decided to close KPO. Because there was no project, no money. In 2008, he said, come for a visit.

Early 2008. I said, what are you doing? He said, we sell books.

I said, really? From Amazon? He said, yes.

I said, that sounds good. He said, I will come. Then I came, in 2008.

I said, I will come, but I will see. I was not able to imagine. Because he was always a very silent boy.

He was a little different on campus. I said, what is he doing? So I said, there is no commitment.

And I will also meet the other one. Because Binny was two years junior to me. I said, I will meet him too.

After that, we will see what to do. And I said, I want to stay in Delhi. He said, come once, we will see.

Because all the suppliers of books at that time were in Delhi. And their presence in Delhi was not there. I said, okay.

And somehow, I like the business model. And then decided to again go, went back to Delhi. So I was taking care of all the business, supply, operation.

Then I went back to Delhi. Solving those problems. Meeting all the publishers, their suggestions.

But you won't get a job. What are you doing here? Nothing like this happens.

No one will do books online in India. Whatever it is. I think, at that time, we were inspired by your journey.

And then we were, that's where I was saying that we were studying your books also. Let's read a book. There will definitely be something in it.

How to solve retail. I told a publisher to give me a book. I read it today.

And then I finished that book. And Clipboard started in 2008? So it started in October 2007.

I joined in 2008. But I was like, both were there. Nothing else was there.

I was there. When I went there, there was an order of 7-8 books. Some friends were there.

3-4. So the journey has started. By the way, when I joined, it was not even a company.

It was a proprietorship. Because you couldn't get a payment gateway online. So Sachin's father was a trader in Punjab, Chandigarh.

So he had some balance sheet where he would get a new cow. So 2009, it got registered by the way. Flipkart got registered in 2009.

But it started in October 2007. I came on board in 2005. So we started our journey.

I had taken care of all the supply chain, operation, category. First four years, I was managing all these things. After that, I was mostly focusing on building supply chain capabilities, operation.

So I started e-cart within Flipkart in 2010. We built that. That journey was amazing.

So from 0 to 15. So I left in 2016. I started Uran with Babah and Amod.

Again Babah and Amod. I met Babah in Flipkart. He was CTO of Flipkart.

And Amod was CTO. And Babah, I know, he was my senior in IIT Delhi. So we were good friends.

But he was also working in Flipkart.

[Speaker 2] (28:55 - 29:00)

What is this about IITs? There are so many entrepreneurs from there. Actually, they are from Delhi.

[Speaker 3] (29:00 - 29:04)

By the way, all of them are same hostel also.

[Speaker 1] (29:04 - 29:16)

Jwala, right? Babah Jwala, Sachin Jwala. Sachin Jwala is there.

By the way, Jomato is from Kara. But in retail, it seems like Jwala is also from Jwala.

[Speaker 2] (29:17 - 29:19)

But what do they do in this hostel?

[Speaker 1] (29:19 - 29:20)

I have no idea.

[Speaker 3] (29:20 - 29:22)

I am connecting the dots now.

[Speaker 2] (29:23 - 29:32)

Is it because of the network of alumni that it helps IIT? But IIT Delhi has that thing. Mumbai also has it.

But do alumni help?

[Speaker 1] (29:32 - 29:58)

No, they don't. In our time, they did. But in my case, all of my angel was done by a lot of IIT Delhi.

In our time, there was no funding. No one knew what it was. What is funding?

Funding at the VC fund was there. Nobody was knowing at that time. So, I think it was not there at that time.

That's why I am saying in 2012, I myself started doing angel. We got some exit. So, Sujit does a lot of angel.

Like mad people.

[Speaker 2] (29:59 - 30:01)

How many companies have you invested in?

[Speaker 1] (30:02 - 30:02)

Around 150.

[Speaker 2] (30:03 - 30:08)

In 150, how many have become big? Like CBSK, right?

[Speaker 1] (30:09 - 30:17)

Unacademy is that. Even this Grofer. Now, it's a blanket.

There are more with scale. There must be 5-6.

[Speaker 2] (30:18 - 30:20)

Off late, he keeps talking about coffee.

[Speaker 1] (30:20 - 30:22)

Yeah, I was getting this coffee. Third wave.

[Speaker 2] (30:23 - 30:25)

Investing in something else? Coffee?

[Speaker 1] (30:25 - 32:00)

I have now. Because I believe there are too much on one sector. Tech, tech, tech.

So, I found something in India. Food will also scale. QSR. So, from last one and a half year, I am experimenting like third wave. So, when I came there, there was nothing. In last one and a half year, we have scaled. I think somewhere now they are valued around 200 million.

Something like that. And it's good because they are profitable business. That's what I am saying.

It's good to see that some business is profitable. They are making money. Then I have a view in India beyond tier 2, tier 3 city.

Like Domino's kind of business can be built. McD also can be built. But I found some great entrepreneur who are already building.

I am backing them. And I believe they will open 2000-3000 stores in this country. So, I am experimenting on that.

Same view I have for the South Indian food because of... If you see Rameshwaram, and I will give you an example. I have been there.

So, they cut like 7500 bills a day. Crazy. And they one store do 5 crore.

So, this is like 10 by 10 kind of, 10 by 15 kind of store. Store in a hole. Do like 4.5 crore a month. A month? 50 crore one store of 10 by 15. And with decent margins and all.

Decent margins. I am just saying it's a 70% gross margin. They must be doing EBITDA on monthly level generating around 30%.

Minimum.

[Speaker 2] (32:02 - 32:11)

So, Vidit's wife is again a very successful entrepreneur. She has this brand of clothing called My Bliss Club.

[Speaker 3] (32:11 - 32:12)

Bliss Club.

[Speaker 2] (32:12 - 32:14)

Do you want to say something?

[Speaker 3] (32:14 - 32:57)

Yeah. So, basically she started this business about 2.5-3 years ago. And like it's a very mission driven business.

What she is trying to solve is she is fundamentally building the first women focused fitness brand. Because in India most fitness brands have always been associated with men. Like no one solved women focused problems.

So, she started this 2.5-3 years ago. And she wants to kind of build a culture of movement in her own words. So, she wants people to move a lot more.

Fitness is not just about having like some crazy six pack abs. But like everyone, whatever you do, every single day, even if you walk 100 meters you are moving. And how can you make that journey more fulfilling.

So, she started this 2.5-3 years ago. And it's been doing pretty well.

[Speaker 1] (32:57 - 33:07)

I see her everyday. Because we live in... Religiously, she comes everyday.

Really? Yeah. But this position is a body positive brand.

[Speaker 3] (33:08 - 33:16)

Yeah. I think it's one of the principles is that. Like, hey, how do you again go against body shaming which happens again a lot in India.

[Speaker 1] (33:16 - 33:29)

So, we had a brand. We built a brand called All. Little larger.

That became very big. Actually, it was the most profitable business we ever created. But majorly, we were in ovens.

[Speaker 2] (33:29 - 34:25)

Not in nets as much. So, before I met Nino, like 1.5-2 years ago, me and Vidit had gone for a conference. So, I had never met his wife.

And we were sitting like this. We had one week to kill. And we used to spend a lot of time having breakfast, lunch, dinner everyday.

And he would describe Nino to me. The thing about Vidit, right? He's very certain about what he wants in life.

And there is a weird kind of contentment. I'm talking not professionally but personally. Which makes him, I think, more complete as an emotional human being.

Which is fairly unique. Because many people I know, including myself, we live through a lot more ambiguity when it comes to forming our notions about these subjects. Where you are so certain about what you believe in and what you want.

[Speaker 1] (34:25 - 34:28)

And so early in life, I think, that's something gifted.

[Speaker 2] (34:28 - 34:36)

And you're the youngest amongst all of us. And the thing about Sujit is that there is no filter in him. It's very good.

[Speaker 3] (34:36 - 34:38)

Good for a podcast like this.

[Speaker 2] (34:39 - 34:46)

Anything to anyone. He can say anything. I'm thinking which story should I tell where we both don't get into trouble.

It's not that he will get into trouble.

[Speaker 3] (34:46 - 34:50)

But I want, it's the same masala story. We don't want a safe story. We want an interesting story.

[Speaker 2] (34:50 - 34:58)

We'll talk about a friend of ours first. So we both went to Riyadh. Like, last month?

Two months.

[Speaker 1] (34:59 - 34:59)

February.

[Speaker 2] (34:59 - 35:20)

February we went to Riyadh. We were there for one entire week. And one very nice gentleman invited us to his house for dinner and his family.

His name was H.A. Hani Muhammad. Hani Muhammad. H-A-A-N-I.

He's our friend. You say the next part.

[Speaker 1] (35:22 - 35:49)

So, again Marwadi and Mumbai. There's an accent for Hindi. So then, H.A. Hani Muhammad. Everybody is your H.A. He started calling you H.A. That friend of yours. It was so funny when he was like, Hi H.A. Good night H.A. Good night H.A. His name is H.A. That's what I'm saying.

[Speaker 2] (35:52 - 36:21)

But Riyadh was such a fun experience. Someone told us that everything is changing in Riyadh. Great investing opportunities.

You guys should go check it out. So we made a group of friends. And we went to Riyadh for a week.

And we met people in different departments. In business, in government, all of that. The scale of the projects they're doing is madness.

They're making a villa project called Roshan. You know how many villas they're building? 45,000.

[Speaker 3] (36:21 - 36:23)

45,000. In one project.

[Speaker 2] (36:23 - 36:27)

In one project. They're spending 3 trillion dollars on that new...

[Speaker 3] (36:28 - 36:31)

That I saw. Like some city. Very different city.

[Speaker 1] (36:32 - 36:51)

It's a lime city. Call it lime. So the dimension is 200 meters by 150 meters.

I have a question. We see so many things on such a scale. We all visit abroad.

We all have done it. And then we want to do something like this in India. So that itself.

[Speaker 2] (36:51 - 37:06)

Sometimes it's... Is it a great thing or a... I think the dynamics and the demographics of the two countries are so different.

I think Saudi Arabia probably has less than 10% of our population. No, not even 10%.

[Speaker 3] (37:06 - 37:06)

36 million.

[Speaker 2] (37:07 - 37:08)

5%. Like 3%.

[Speaker 3] (37:08 - 37:12)

Yeah. Less than 3%. 2%.

It's crazy.

[Speaker 2] (37:13 - 37:24)

We can't plan. But I'm saying the imagination goes wild. Correct.

I think for that point to arrive. We need to have kind of like reached a certain GDP per capita. I think.

[Speaker 1] (37:24 - 37:46)

But you know when we started going abroad. And started visiting stores. Started meeting everyone.

We would have met every entrepreneur who has created something in the world. Looking at that scale. I think we start thinking about that.

We will do this in India. And then we start making mistakes. I was coming to that point.

[Speaker 3] (37:47 - 37:53)

I agree with you. I think what... Have you seen a lot of examples like this?

Like where people get inspired too much. And say that yes, it works in the US.

[Speaker 2] (37:53 - 38:08)

We will run it in India too. This is the problem in India. All models come from there.

But don't you think what happens in the US. It happens with lag here. But it happens.

Maybe with a 15 year lag. Nothing. Something happens.

But because human beings are human beings. Like I am talking about e-commerce at large.

[Speaker 1] (38:08 - 38:18)

I am talking about... But e-commerce also in India. Since the subject is getting discussed.

In India, there were so many changes. Correct.

[Speaker 3] (38:18 - 38:31)

Agree. It's not like a niche type thing. Yeah.

But we... Localization has to happen. I agree.

Sure. Like sometimes people try to copy paste with the exact key. Which I believe does not work.

[Speaker 2] (38:31 - 38:45)

Like if you want to say we are in broking, asset management and stuff like that. There have been examples very similar in the US for a long time. If you talk about Ola.

Uber has been there for a long time. If you talk about Airbnb. But it's a space.

[Speaker 1] (38:46 - 38:59)

It's a financial services. The other one is mobility. So they are natural things.

What is that new thing you can do in India with an Indian reference point. Is something which should be more interesting in India.

[Speaker 2] (39:00 - 39:05)

Do you think it's not about how you tweak what has worked elsewhere. But create something. Is that what you are saying?

[Speaker 1] (39:05 - 39:33)

You are asking like Instagram of India. Google of India. Something like that.

I personally believe that India can only prosper if we are able to create value addition in the economy. Of course. By just selling commodities without value addition.

Because value addition happens at home in India. It happens in our kitchen or at home. I believe that.

So value addition will not happen until the economy grows. So which is manufacturing, processing? No, no.

Making a brand. Okay. Making a brand.

Value addition happens in brands.

[Speaker 2] (39:33 - 39:53)

Most value addition happens in brands. If I ask you that consumer facing brands in India which have scaled. Let's say to about 1000 crores in sales.

What are the first 5 brands that come into your mind? And why do you think there are so few brands? I think brands are being made.

Earlier 1000 crore brands were not there.

[Speaker 1] (39:53 - 40:30)

Now they are visible. Which ones come to your mind first? We were able to build around 4000-5000 crore brands.

But now you look at both. Like you will see in personal wear. I am looking at.

Some brands have come in beauty as well. Which are scaling. Even Mamat has come to a certain level.

But not 1000 crore. But they are all getting there. So new age brands are happening.

But old age brands. I think Levers, Nestle. They have all built brands.

Look at the brand Maggie has built. It's crazy. One single category.

One single product. It will be a billion dollar brand.

[Speaker 2] (40:30 - 40:35)

The ones which have really scaled. Have been the foreign brands. Which have come into India.

That's why India maybe. But India.

[Speaker 1] (40:35 - 40:50)

I think Marico has done well. ITC. I would rate it as an Indian company.

They are building a lot of brands. So Britannia in a way. They are making a lot of Indian brands.

So in India. Parle is there. Parle is there.

It's an unbelievable brand.

[Speaker 2] (40:51 - 40:53)

So I think for this conversation. Amul.

[Speaker 1] (40:53 - 40:55)

I think it's the biggest brand India has created ever.

[Speaker 2] (40:55 - 41:05)

I think for this conversation. Let's not focus. Or fixate upon e-commerce alone.

But commerce at large. Because we have the. Digital commerce is a very interesting subject.

[Speaker 1] (41:06 - 41:26)

And ultimately. Digital. To buy anything.

It will be a digital use. Whether it will influence you. Whether you have seen the brand digitally.

So digital is a part of your life. That's true. You think that's the future.

And physical is going to die. It's not about physical or digital. I think digital.

Digital influencing. If you do physical buying. Then also digital has an influence.

[Speaker 3] (41:26 - 41:29)

Yes. By seeing a photo on Instagram. You decide what to buy.

In that local market.

[Speaker 1] (41:29 - 41:33)

It's a part of your life. I don't see them as two separate things.

[Speaker 2] (41:35 - 41:49)

So you think. In the future. For these consumer facing brands.

Let's say for example. What you are making. The four or five brands.

That you were talking about. What is the split right now. Of people buying them online.

And what is the split of.

[Speaker 1] (41:49 - 43:04)

So firstly. I am not building. My daughters are doing.

I am maybe a mentor. They are. Because I don't belong to that generation.

Who think digitally. The last thing digitally we did. Was to build a whole thing around data.

After that we did BitBazaar. Two hour delivery. Which became very successful.

We got a break. We started FutureBazaar when. FutureBazaar.com and Flipkart had. Along the same time. Yeah. I think there was a little bit delay.

But yeah. Around 2000. Around the same time.

2008. 2009. Yeah.

So. We attempted digital. Being physical.

Attempting digital. Was the biggest mistake. Because you can't think.

Digital people. Were born digital. Think digital.

So we were born physical. And thinking digital. Was adding one more layer.

That doesn't work. And what do you think. The recipe is now.

What could work. You have to think digital now. You have to.

But also have a physical presence. Physical. You sell through every medium.

But you have to think digital. Everything. When we used to build brands.

Earlier it was newspaper advertising. Television advertising. All that used to come.

Now you can't build a brand. On newspaper advertising. Or television advertising.

Or outdoor. Now the way to make a brand. Has completely changed.

Yeah. Digital marketing. Targeting digital.

So you have to think digital. The consumers are different. Cohorts are different.

Thoughts are different.

[Speaker 2] (43:05 - 43:49)

So even before we talk about e-commerce. Or digital. Buying something.

Why do you think. From a very psychological standpoint. Why do you think.

Somebody buys a product. What in their psyche. Instigates them.

To buy a certain product. Why do some products. Do better than other products.

And do you think. See. I'm not talking about.

The essentials. That we all need. But I'm talking about.

Shopping. Shopping. In the sense of the word.

That we know it today. Do you think. The power dynamic.

In a way. Shifts from. The seller of the product.

To the. From the. Seller.

From the buyer. To the seller. Each time somebody buys a product.

Like why does somebody. Buy a product. And why does a product.

[Speaker 3] (43:51 - 44:21)

So I'll tell you. At least what we see now. Right.

Like now. Because of social. There's massive FOMO.

In the world. Right. So there's.

People call it inspiration. But a lot of this is FOMO. Right.

Like no one. Wants to be left out. We see.

Lots and lots of shopping. Gets. Shopping gets inspired.

By social media. Right. Like buy Instagram.

Buy this and that. One of the very common. Products that people use.

On the Meesho app. Is people take. A photograph.

And they search. That same photograph. And buy.

And most of those photographs. Come from Instagram.

[Speaker 2] (44:22 - 44:27)

So how big is. Social media. As an influencer.

Part of Meesho's. Overall sales.

[Speaker 3] (44:27 - 44:54)

I would say. It's very hard to attribute. Because in many cases.

People come in. It's a lot. By the way.

Even the way we design. What kind of trends are coming up. What kind of things you see.

Everything is driven. A lot by what data. We see on social.

It's a big part. Something. Direct attribution.

We can see. When people are really. Searching that image.

And it's an Instagram image. So that we know. And that's a large part.

But even otherwise. We see. Everyone.

Deciding what to buy. And what not to buy. Driven a lot from social media.

[Speaker 2] (44:54 - 45:03)

So you're saying. There is this one. Central body.

In a way. Of influential people. Who decides.

What is cool. And then everybody decides. They need that product.

In their life.

[Speaker 3] (45:04 - 45:10)

To some extent. Yes. Right.

Like that's happening. Now people are seeing. A lot of celebrities.

Now they are also seeing. These influencers come up.

[Speaker 2] (45:10 - 45:25)

And how. How high. Does that chain go.

Let's say. We look at the influencer. Who does the influencer.

Look at. Who in turn. Does that person.

Look at. Is it a corporation. Which is setting.

Trends. That are cool. Or is it organically.

Evolving from people.

[Speaker 3] (45:26 - 46:12)

So at least. From what we see now. It's.

It may have started. With being very concentrated. But now.

Even like. I see. Like bliss club.

Starting right. Like they leverage. Influences quite a lot.

That entire brand. Was by the way. Was built on Instagram.

Like everything. Was built on Instagram. And they found people.

So now. The influencers. That people can relate with.

Hey this influencer. Looks like me. Where the kind of things.

I like. And I follow that person. And some of the influencers.

Very original kind of. Products they choose. And they recommend.

And so on. So it's not like. Very concentrated.

That hey this person. Looks at this. And that person.

Looks at this. I feel now it's. Very decentralized.

To some extent. And everyone knows. What kind of person.

Feels like a body double to me. Right. Like hey.

This person. Has the same beliefs. Same liking.

Same kind of body. And I like this person. I wanna buy.

What they would look in.

[Speaker 2] (46:13 - 46:26)

So I feel that's happening. At the very core of this. Distinction.

You're saying. People are. Mandating.

Or people are. Governing. What becomes cool.

And it's not the brands. Or corporations. Correct.

People are leading. And brands are following.

[Speaker 3] (46:27 - 46:31)

To some extent. Now I see this. To be very strong.

And I feel this is. Only getting bigger. And bigger.

[Speaker 1] (46:31 - 48:30)

And I believe. There is a reason for it. We'll see.

Like you were saying. The social media. Especially this.

Video platform. If you can say. Tik Tok.

Jost. Whatever. Like.

Instagram. Facebook. There are so many distribution.

Big platforms. Where more than. Hundreds of millions.

Of users. Tier 2. Tier 3.

Cities. Or in May. They spend 6-7 hours.

On it. In a day. And they.

They. Make those videos. It's very hard for us.

To relate to. Why these guys. Are watching.

So much. And ultimately. Some style.

Some products. Something. They pick.

And they wanted to. Look like it. Because they spend.

So much of time. So. I think.

Like you were saying. That social. I think it is.

Becoming a mainstream. I was just telling you. When we were solving.

This predictability. Hey. The goods.

Will going to be. Delivered within. One day.

Two days. Or in one week. Depend on the location.

And all. I think. This generation.

For them. It's given. They are not thinking.

About it. Hey. How.

I was talking about. Hey. Payment gateway.

Integration. I think. People now.

Wanted to look good. Wanted to look different. If you are asking.

Who are the influencer. If. In their society.

Some guys. Who have like. Thousand.

People follower. 10,000 follower. And they are getting inspired.

I can become. Influencer. They are endorsing.

The brand. Local brand. Chips.

Some shops. Something. And they are innovative.

Because they. They wanted to look different. In every video.

Because they are creating. Reels also. So.

What they do. Go to mall. Go to changing room.

Just change. And take a one video. Because they cannot spend.

That much of money. See. I think.

Now they. Endorse in a different way.

[Speaker 2] (48:31 - 48:34)

So. Is that the future. Instead of marketing.

On newspaper. TV. I think.

[Speaker 1] (48:35 - 49:53)

The way. We look at it. Because being a part of the old economy.

The. We believe that. Whenever a dominant media.

Or communication method. Changes. Everything changes.

Around it. So. When.

When. There was a. Newspaper.

Then the radio. Then the television. Television commoditized.

Build brands. Now. That's a social media.

And social interaction. And. I think.

Mobile phone. Makes you very individualistic. Because.

Now. At. At any way.

Every home. Everybody has a different breakfast. Everybody has a different meal.

Earlier. The family used to sit together. And had.

One kind of meal. Things have changed. And we have become very individualistic.

Because of. Everybody has a personal. Phone.

So. Things are changing. Around it.

You. So. Every person.

Has a personal preferences. Of an influencer. You need.

You need. So many people. Now.

To get influenced. Somebody will get influenced. By something.

Somebody will get. Influenced by something. Earlier it was mass advertising.

I remember. We made a movie. And there was a.

Particular dress. Which was. Made by Biba.

And they still sell that dress. After 14 years. Or 15 years.

And that. Virtually that dress. Made Biba as a brand.

Also to a great extent. So earlier. There were other influences.

But it was. It was commoditized. To a great.

Great extent. But today. Things are different.

It's getting individualistic. More. And then you have to find.

That kind of users. Together.

[Speaker 2] (49:53 - 50:05)

And make them into a group. So. For the future.

Of building a product. For the new consumer brands. That are coming up.

Today. Is the go-to strategy. Just that.

Paying influencers. To promote your product. No.

No.

[Speaker 3] (50:05 - 50:12)

I think it's a. For brands. I think now.

It's a very core part. Like. If you don't.

Like.

[Speaker 2] (50:12 - 50:35)

I could also have a message. Like. I could be saying.

My brand is sustainable. My brand is XYZ. My brand does.

A certain kind of fashion. Does the brand. Try to build.

Their distinction. Through that brand message. Or.

Is the lower hanging fruit. Going to the influencers. Who have the widest reach.

And paying them money to. Adopt the brand in a way.

[Speaker 3] (50:36 - 51:22)

It's happening a lot. And by the way. It's just not about.

Finding the biggest influencers. As I was saying. Now influencers.

Things. So. You have to find someone.

Who is. Very close to the philosophy. That the brand wants to build.

So. It's an intermediary. Between a brand and the customer.

Yeah. By the way. People have become very conscious.

They look at everything. Hey. Who have you picked?

What does this person believe in? You say sustainable. I see this person.

Using a plastic water bottle. I don't believe. This person is sustainable.

My point is like. Everything. Every detail somehow matters now.

Right. Because people spend so much time. So.

It's just not. You can't go. And that's why.

Influencers work. And very, very small. Influencers are very effective.

Because. It's just not. Go to the celebrity.

With millions of followers. You have to find someone. Who connects.

With the principles of the brand.

[Speaker 1] (51:22 - 52:41)

If you see. I think I just. Earlier.

Like you said. The unidimensional. Control channel.

Even like. Newspaper. TV.

And even control. Because of this. Social media.

Revolution. Multiple access. Yeah.

Innovations are happening. Multiple access. It's very hard.

To pick one trend. Some trends are working. Let's say tier one.

Some tier two. Some like high. High paying capacity.

Some Gen G's. Some. Millennials.

And. And it's very hard. To pick trends.

But. If you see. The platform.

Which are. Responsible for this. Social media.

Let's say Instagram. Or Facebook. Now they are creating a fund.

So. To engage. These influencers.

Because. If the commercially. They will not.

Commercially. If they will not be engaged. It's very hard.

For them to come again. And innovate. So now.

They are creating a fund. For it. And somehow.

They are creating. Economics. Currently those are broken.

Because the people. Who are. Finding those numbers.

Of influencers. They are creating. Those infrastructure.

But currently it's broken. So these are big innovations. Are happening.

How to create that fund. So that. All these influencers.

At multiple access. Keep engaged. With the platform.

So. I think. And.

I see. Retail. As becoming a by-product of that.

[Speaker 2] (52:41 - 53:12)

And do you think. Celebrities. Like I am talking about.

Old school celebrities. Bollywood. Cricketers.

Do you think. That connection. Has somewhere.

Gotten lost. Because people. Have assumed.

In their minds. That. They are for sale.

In a way. And rarely ever. Do they believe.

In the product. They are selling. And.

Will the trend. In the future. Be that.

Brands. Do not go to Bollywood. Or cricket.

But they go to. More micro influencers. In a way.

Who are more authentic.

[Speaker 3] (53:12 - 53:58)

I think. It is. Happening.

Slightly. But I think. That's still not the prominent reason.

Like the reason. People go to influencers. Because earlier.

By the way. It was binary. Either you have a big celebrity.

Or you don't. Right. And until you.

Become large enough. To afford a celebrity. You can't do it.

Now people can start on day one. You could be a very small one. And you find a small influencer.

Who connects with your philosophy. Right. And people keep graduating.

There are still very few. Influencers. Who have the same following.

As celebrities. So what you are saying. Still hasn't happened.

But I believe. By the way. It will happen soon.

In the next few years. Some large celebrities. Will have the same following.

As some large influencers. With same following. As celebrities.

You guys do a lot of marketing. We do. And we are seeing.

By the way. Marketing budget per year. How much did you spend last year?

It's a large amount. I won't mention the number here. But I think.

It does not matter.

[Speaker 2] (53:58 - 53:59)

I want you to say. I know.

[Speaker 3] (53:59 - 54:00)

But I won't mention still.

[Speaker 2] (54:01 - 54:25)

But let's say. Amish has spent. Something like 2000 crores.

A year to market. What I am wondering. Is.

How do you decide. The allocation of that money. What have you learnt.

Say for example. Last year. You sponsored IPL.

And this. And that. And stuff like that.

And actors. And stuff. What have you learnt.

From that experience. And what will you change. Going forward.

[Speaker 3] (54:25 - 54:52)

Yes. So the one thing. Which we have always seen.

Very effective. Is. We are very local.

We go as local as possible. Because. Our audience base.

Is very. Heterogeneous. Unlike tier one.

Which is also. Very. If you look at Instagram.

Looks very homogenous. Right. Like tier one.

Tends to behave. Very similarly. As soon as you go beyond.

It does not. We have always been very local. So we go.

To Nanda Pradesh and Telangana. And pick an actor. Or pick an actress.

Or a celebrity. That connects with that person.

[Speaker 4] (54:53 - 54:53)

Right.

[Speaker 3] (54:53 - 55:17)

So I am saying. We have always been very local. We have seen that.

To be very effective. But. At the end of the day.

It's capital allocation. Right. You spend.

X amount. Or you spend Y amount. You see where the ROI happens.

We have seen. Over time. Like.

It's not that you need to have a celebrity. All the time. Right.

Like. So we keep changing celebrities. So that.

Like the company's image. Is not attached to one person. Right.

Like that.

[Speaker 2] (55:17 - 55:28)

That is also a risk. At the end of the day. When you use a celebrity.

Huh. How much does your ROI go up. While you are using a celebrity.

Versus not using. Is there a tangible difference. Very hard to estimate.

[Speaker 3] (55:28 - 55:35)

Super hard. Like if someone asks you this question. It's all anecdotal.

It's like people. Build stories around it. No one can estimate.

[Speaker 2] (55:38 - 55:41)

Which was the biggest hit of marketing last year? What worked best?

[Speaker 3] (55:42 - 56:17)

So Diwali campaign did very well. Which is where we did localization. So.

We kind of. We had different. Celebrities.

For different parts of the country. Right. Like we had.

Saurav Ganguly for West Bengal. We had Ram Charan for. A certain state in South India.

So I'm saying it's a. It's basically we went very local. We saw that to be much more effective.

Than have one person. Who appeals to all the country. Because we realize.

It's close to impossible. To find one person. Who appeals to everyone.

You can find cricketers. But they still appeal to males. And not to females.

So it's. It's very very hard. So I'm saying we have.

We found localization. To be very effective.

[Speaker 1] (56:18 - 56:51)

Should we eat off. And then continue. Khaled.

You want to say something. I just think that. Even celebrities.

They are investing. Like significant time. To become influencers.

If you'll see the trend. Like cricketer is showing. I'm going to bed.

Singing. Showing someone. You'll see all those.

And they're like. Serious amount of time. They spend.

They also understand. Those trends. So they wanted.

Even in that space. They wanted. They're competing.

They wanted to become. One of the. Largest influencers.

[Speaker 2] (56:53 - 57:52)

In our space. In fintech. There are some.

People. There is Sharan. There is Rachna Ranade.

There is Thing School. I think these guys are. Especially people like.

Thing School. I think there is a. There is a big divide.

Between the quality of content. They're doing. And other people are doing.

I don't know. How they arrived at that point. I'm not an investor.

In Thing School. I'm not promoting. But.

I think the future of. Information dissemination. Even about finance.

Is going to move from. Traditional channels. To people like them.

Like. I don't think. The day is far.

Five years from now. Somebody will not be watching news. They will be watching.

Thing School. For their news. And I wonder.

How this entire equation. Changes. And who becomes.

Celebrities. Of 10 years from now. It will be quite interesting.

To see how the world. Changes though.

[Speaker 1] (57:53 - 58:28)

I think celebrity. I think earlier. Because.

Most of the followers. Were related to celebrity. I think in my mind.

If let's say. If I like cricket. Or let's say.

Some sports. It's a skill game. I think it will not.

Going to change. Still I will going. To prefer that.

But how. Commercially. I can associate.

I think might be. It will be different. But lots of things.

I like. Because that guy. Is doing.

I wanted. I wanted to be. Seen like him.

Or something like. Fitness. Or some.

Some of the. Clothing. Styles.

But who will sell. Those products. Might be different.

[Speaker 2] (58:28 - 58:32)

I think like we were speaking. Let's get some. Insights from.

[Speaker 3] (58:32 - 58:32)

Yes.

[Speaker 2] (58:33 - 58:34)

Sir. You want to know the.

[Speaker 3] (58:35 - 58:37)

Past. The present. And the future of commerce.

In the country.

[Speaker 1] (58:37 - 1:01:38)

I think. Whatever. 30-35 years.

We have worked. There is a lot of. Things which you learn.

During the journey. And. Journey is.

Lot of people. Believe India is. Infinite market.

Because of the. 20% of the world's. Population.

And. I think that's. India is a.

Very very. Interesting country. The most.

Heterogeneous country. You can. Ever believe in.

I will give you. An interesting. Example of a.

Temple. Or a. Religious economy.

In India. Small shrines. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Like a. Like a.

Like a. Consumption. India one.

Is a consuming class. anybody who has a domestic help is for me is a consuming class because consuming means not basic consumption but some value-added consumption. India 2 is the serving class which makes our lives better.

The diver, the helpers, the peon, the watchman, the liftman and for everyone India 1 there is 3, 2, 3 and a half India 2 and unfortunately India 1 doesn't give enough money to India 2 to make them consume discretionary products and then there is India 3 which is farm laborers, they live on aids and factory workers, there is as much money as there is. So now consumption is only India 1 which is value-added, it consumes economically. How big is India 1, India 2 and 3?

I would say like in a city like Bombay it's a very interesting definition until some years ago 25% of people used to live in apartments I would say 10 years ago today it might be 35. 5 to 8 percent people lived in chawls and balance lived in slums. So India I think every city will represent some way or the other.

But if you had to aggregate the country what do you think? I would say 11 to 13 percent would be the consuming class. India 1?

India 1.

[Speaker 3] (1:01:38 - 1:01:39)

Which is 20 crore?

[Speaker 1] (1:01:40 - 1:04:39)

Which is around 20 crores and it might be growing and I think it's growing and what pace of growth will depend will determine everything and unfortunately we live in that community only that India 1. All the equity investors who come they also roam in this community. They think the world is very I wanted to see India.

So whatever India wants to show, India has everything to show. So show whatever you want to show. And that's why I always say there was a movie which became very popular during our time.

There was a movie called Jani Biddo Yaro and there was a song called Hum Honge Kamyav Ek Din. So aaj bhi wo gaana chalta Hum Honge Kamyav Ek Din. India we want to succeed but I think India is 20 percent of the world 18 to 20 percent of the world's population.

For the whole world I think it was the European economy, the American economy which consumed which made the world grow then the Chinese economy which made the world grow. Now it's India's time. India will have to learn to consume much much more than what they are consuming and and that's what will drive growth.

Some of the numbers if you'll see sir and I'm just I'm not contesting key A, B and C. They're a bucket and the places that we have come from I totally agree but some of the number if you'll see if it's true I think it's mind-boggling. Let's say India's GDP when I was passing out in 2003 was around 500 billion dollars.

Right. 20 years have passed and now it's I'm just saying what the number published is around let's say I'm taking 3.5 trillion seven times has increased in 20 years. Let's say farm GDP which is 17-18 percent I think that's the number 16-18 percent which comes around 550-600 billion at this level but that farm income only happening in tier 2 beyond because but those numbers even because no tax and all PPP I think it's around if you'll see 800-900 billion dollar kind of impact it can create.

Best consumption happens when the economy is around 7,000 to 11,000 dollars per person. Earlier it was 4,000 now people say that 5,000-6,000.

[Speaker 2] (1:04:39 - 1:04:54)

I would say per capita. Do you think that's the main metric that matters per capita GDP? Even when you're calculating per capita GDP you're taking total GDP and dividing by population?

[Speaker 1] (1:04:54 - 1:04:59)

No so some bit of it to remove so it's around 2,700 currently.

[Speaker 2] (1:04:59 - 1:05:04)

How do you how do you arrive at that number though? Do you take the total divide by population?

[Speaker 3] (1:05:04 - 1:05:10)

Average people use which is 2,000 is with that. That would skew everything right? But yeah the distribution which is what you come to.

[Speaker 1] (1:05:10 - 1:05:25)

There are so many economies within that economy. Government said that 2,500 recently but you take out Ambani and Adani from the top.

[Speaker 2] (1:05:25 - 1:05:26)

It's a completely different.

[Speaker 1] (1:05:31 - 1:05:51)

There's another thing another statistic which I want to India has two crore weddings a year one crore weddings in two crore families. We produce two and a half crore children every year and our wedding economy is 15 lakh crores. Average spend of seven lakh rupees in a family multiplied by two crore families is 14 lakh crores.

[Speaker 2] (1:05:52 - 1:06:00)

Why do you think that there is no aggregation in the wedding industry? There is not one dominant player or three four dominant players.

[Speaker 1] (1:06:07 - 1:06:20)

Do you think it's an opportunity weddings? I think people have created made that into a business. Look at Maniawar as a brand now.

It's built on wedding. Maniawar is wedding aggregation. And there might be many many brands.

Every city has brands.

[Speaker 3] (1:06:20 - 1:06:26)

But still if you look at 15 lakh crore scale and then you look at Maniawar it doesn't feel it's still proportionate.

[Speaker 1] (1:06:37 - 1:07:42)

It's driven by a lot of societal events. Look at the harvesting festival. Consumption used to happen during harvesting which talks about your agricultural economy.

I think like IT technology business created around how many people nearly crore plus families would have got into that business and that created a lot of consumption. We need next round of economy. What do you think next round will be?

I think we'll have to participate in something. I think a creative economy is a big economy which is creator economy, creative economy. India can excel there also.

We are fascinated by the generative AI. Very very fascinated. Imagine in retail business in a grocery business somebody will tell I want to make this item for the next five days.

The retailer will give exact quantity of what you want. So the packaging will change. Everything will change.

So any new technology will bring in so many changes and the whole ecosystem around it changes.

[Speaker 2] (1:07:43 - 1:08:09)

Also another question like I'm going to come to both of you and ask what are the trends for the future and what do you see changing. But since you three have worked so much in this space at the core of it why does something sell and why does something not sell? If you had to provide insights from that what would you say?

Maybe you can start first.

[Speaker 1] (1:08:10 - 1:08:42)

I think a product sells because it fulfills the needs of the customer. So what we used to say is there is a daily want and there is a daily need of a customer and there is occasional want and needs. So your product has to fit in somewhere and there are occasional consumption and there are daily consumption.

Your product has to solve the needs of that customer, the wants of that customers. Secondly product sells because you are fulfilling some vanity or some ego of that person if you are selling a high value product.

[Speaker 2] (1:08:43 - 1:08:59)

So how do you recognize these needs? If I'm who wants to sell a product today, how will I get data on what cures somebody's ego or vanity? What is his need?

How do I go about figuring out what product to design?

[Speaker 1] (1:09:00 - 1:09:54)

I think the society is changing, the world is changing. You can look at what is getting popular. So like we always thought when OTT came in and COVID made it happen that people watched the longer form of storytelling.

Nobody believed that storytelling can be told in 10-10 hours or 20-20 hours. Storytelling was supposed to be within less than three hours. It changed the whole market.

I think the whole content market, the cinema, the multiplexes, it will undergo significant change. So what to produce with the customer or the audience likes. Today the entire Hindi Bollywood film industry is struggling.

There was a movie I'm told it didn't run even for a day. They had to take it out and it's happening. This kind of mishaps are happening like crazy.

And so what do you create for multiplex as a content? I think everybody is getting into the drawing board.

[Speaker 3] (1:09:55 - 1:11:01)

By the way, this is true for retail very, very strongly. I've seen when the channel changes, what sells also changes. Absolutely.

Always. So because as soon as the challenge changes, like what you discover first, like for example, earlier when you used to go offline, you will touch the product. That was a big part of what you buy.

Now you can't do it. So suddenly pricing takes a big, like I have seen online, pricing suddenly is a lot more important because touch and quality is somehow it's very hard to pick. Now merchandising, inspiration, photographs, social matters a lot, which was not there earlier.

So as soon as channel changes, like what sells changes like completely. Now internet was a big thing. Mobile was a big thing.

Now AI, I don't know what that is, right? Like AI will also kind of change some of these channels. Meta was supposed to be now, it doesn't feel like it's going to happen anytime soon.

But if that happened. So AI has a good, has big potential in shopping? It should be like if medium becomes large, by the way, then the channel, especially for shopping will change.

But then what you buy will be very different.

[Speaker 2] (1:11:01 - 1:11:17)

Like if these guys like Meta with all the access to so much information is spending $15 billion or $16 billion a year on creating that ecosystem. Would you say it's likely that that will be the future?

[Speaker 3] (1:11:18 - 1:11:43)

It's very hard because historically, if you see whenever big technology shifts come, they generally don't come from large companies. They come from startups, right? So it's very hard that they will know what people need.

Meta will know, right? Like that's a, like every single time all of these technologies have come, they've never come from existing large incumbents, right? So I find it unlikely it will happen.

It may happen like who knows, but historically it's never been.

[Speaker 2] (1:11:45 - 1:11:54)

Right. And what do you think, like I was asking him, like, what do you think is working today? And what do you think will work tomorrow when it comes to selling a product?

[Speaker 3] (1:11:56 - 1:12:45)

So I think I, again, my assessment is this whole thing of serving need has become a lot more of serving aspirations now. As I was saying, most people come... The society is changing.

So both people now have a lot more discretionary income, as people say. So it's not that when they want to buy, they buy. Now people open the app and they want to look like the celebrity or look like this influencer because they feel it's much better.

And you fulfill their aspiration, they feel much more happier. Right. So now I think some bit of the consumption started to happen.

And we're still talking about that 15-20 crore population of India. Like, so for example, just in the last 12 months, 14 crore people have bought on Meesho. So I'm saying it's a large...

They go to a much larger audience. Right. So now it's a lot of people who are...

like the India 2 is there. We have a lot of India 2 users on our platform.

[Speaker 2] (1:12:45 - 1:12:51)

You're saying is Meesho predominantly India 1 with some India 2 or is it like India 1 plus India 2? I would say both.

[Speaker 3] (1:12:52 - 1:13:20)

Both balanced. We don't have... India 1 is a very broad segment.

So we don't have the top 10-15 million, I would say, but everyone is after it. Do you see India 2's discretionary income rising? So it's still small.

And that's why our job is to, like, within that small wallet, still help them fulfill those aspirations. They still go on Instagram, they still follow someone. And they say, hey, no, I don't have the same amount of money.

Can you help me fulfill this aspiration in a very small budget? Which is what we solve. But they also have aspirations, very, very strong ones.

[Speaker 1] (1:13:20 - 1:13:55)

We had a very interesting, another thing, like India 1 consumes in their lifetime. I would have consumed at least 10,000 SKUs. But India 2 or India 3.

India 3 will be 200 SKUs. India 2 would be, I don't know how much, but not more than 400-500 in their lifetime. That's rising.

Correct. I would say India 2 would have consumed only 100 SKUs at one point of time. Now it's rising.

Going up. Now they want from that to a toothpaste, to this, to a cream, to everything. So that's happening.

[Speaker 2] (1:13:55 - 1:14:03)

So you're saying it makes sense to build products which appear to be aspirational today. And what do you think will be tomorrow?

[Speaker 3] (1:14:05 - 1:14:50)

It's very hard. I just feel like a lot of this, as per capita goes up, this 2000 goes to 4000. Most of the increase is happening in discretionary and not, like, people fulfill their non-discretionary needs anyways, right?

So it's going to come here. So I feel that this aspiration thing is going to compound and grow non-linearly going forward. Like everyone is doing it and everyone's doing it individually now.

So earlier it used to be a family affair. Now everyone's fulfilling their own aspirations separately. Everyone follows someone else on Instagram.

Everyone else has different things that they aspire for and they're fulfilling it again and again. And our job is to basically make it affordable. How do we make them achieve their aspirations

affordably is what we focus on as a company.

Right.

[Speaker 1] (1:14:50 - 1:14:51)

Right.

[Speaker 2] (1:14:51 - 1:14:52)

You want to go next?

[Speaker 1] (1:14:53 - 1:14:56)

Yeah. It's a very complex thing.

[Speaker 2] (1:14:57 - 1:15:06)

What trend is working today? So if I'm building a product for today, what do you think I should keep in mind? And what trend do you think will be there tomorrow?

[Speaker 1] (1:15:06 - 1:18:37)

I think today, if we'll see, it's how you are, if you are talking about commerce, it drives from your unit economics, am I right? Currently, it's making lots of sense to optimize, let's say, on supply chain, sourcing, inventory calls, and everywhere the technology goes. There's a festival, these SKUs go.

So currently we are picking up which SKU, how, what, and all those things. We are building a technology infrastructure, consumption, predicting, hey, next time, next year, 40% it will grow in this channel. But how channels are changing, it's very different.

Like I was just describing, Gen Zs are thinking in a very different way about their consumption. Millennials are definitely a bit thinking, and the other people, like traditional consumers, who are like price sensitive, quality, touch and feel. I'll give one example, Gen Z was saying that size matters too much to me, I will not going to buy online, like this clothing size.

Sorry, so I'm not going to buy online, because for me, I'm buying and then returning again, I don't want to look exactly fit, like the celebrity. So for me, the price sensitivity is not that much. For me, these, and offline gives me that flexibility.

So I'll see here, but I wanted to buy what I like offline, because that's where instant I, if I'm able to buy offline. So it's a different kind of key, I never imagined, because there are so many policies were saying, saying that, hey, I will return within five days, 10 days, again, full film. No, no, it will not matter.

For me, it takes lots of time, either I should order five, six sizes, then my money gets stuck. The insight is, like, we have to be watch out where the consumers are spending most of their time. And we have to build some of the products for according to that channel.

So if you'll see most of the evolution, and sir will agree, has happened technology on back end, rationalizing the technology for applications, like what to give to consumers, like pricing search, things like that, SKU search, cataloging, things like that, all those investment has happened in last 15 years, I can at least say that. But nobody knows which channel is picking up. So I think that's where I'm saying now the time is to find a consumer, their money, where they are liking, what's their liking, every, like for fashion.

Logically, it says, let's say social media is one of the most leading channels. But for consumer, for consumer goods, like white goods, is it the performance? Is it the support?

Is it the pricing? I don't know. Let's say buying AC on the social media is very hard to imagine.

Mobile phone, I'm very clear, because it's a feature led, camera led, camera is dominating, let's say, mobile as a category. Because that's the consideration set for new generation as well as for everyone.

[Speaker 2] (1:18:38 - 1:18:40)

Say your son grows up in five years, and he's shopping.

[Speaker 1] (1:18:40 - 1:18:54)

I don't know, he will buy like him within game. He's playing. He can click.

I wanted to order this. I wanted to look like this. I don't know.

Or it might be that's not the mainstream.

[Speaker 2] (1:18:54 - 1:19:22)

Right. Another question I wanted to ask is, when aggregation happens, even in between platforms, like soon, maybe we will get to a point where Misho is selling everything that is available. Amazon is selling everything that is available.

Udaan, Flipkart, everybody. Will it come down to curation and legitimacy in a way as to how I pick which platform to shop on?

[Speaker 3] (1:19:23 - 1:19:30)

By the way, it ends up being what your value prop is. Right. So for example, Amazon is very, very focused on...

[Speaker 2] (1:19:30 - 1:19:37)

Tell me about everybody, because you're in this. Finish with Misho. What is Amazon's value proposition?

Amazon is like convenience.

[Speaker 3] (1:19:37 - 1:19:44)

So I want to stand for convenience. Right. So they will make sure that everything that you order, you always feel like it comes faster here as compared to anyone else.

[Speaker 2] (1:19:44 - 1:19:50)

But the flip side is that often the product is fake and the quality checks are not at par. It could be.

[Speaker 3] (1:19:50 - 1:20:33)

Right. And that's by the way, it's a thing that they will continue to improve. But one thing they want to stand for, which is this convenience.

Right. And everything else, if you ask me, is secondary. They'll continue to make some improvement, which is not...

You have to achieve excellence here. But they want to do this. So they want to stand for it.

They will not sell anything where this somehow gets diluted. Because the brand, right, the value add that people remember you for is that. When they come to Misho, people believe that this selection I will not get for a more affordable price anywhere else.

They have to believe this. And I will get the largest possible selection in the price points that I can afford. That I also have to believe.

Now, everything that we do in our business basically... I don't know. I think it's a category-wise difference and maybe...

What is Flipkart and Amazon's distinction?

[Speaker 2] (1:20:34 - 1:20:55)

I think mostly... For a long time, if I have to tell you the truth, I bought stuff on Flipkart out of some stupid notion that they're an Indian company and nationalism. But now after Walmart deal, I don't see any distinction between Flipkart and Walmart.

I would just as well buy in Amazon as I might in Flipkart. How does Flipkart distinguish?

[Speaker 1] (1:20:55 - 1:21:12)

I think the DNA of the company I can definitely think about. I think we were building the company. Then it was like how to give a best value proposition.

It's a price, service, it's a COD, building a logistic around that. Something like that.

[Speaker 2] (1:21:13 - 1:21:19)

So would you put that in the category of convenience and say Flipkart thought there is room for two players?

[Speaker 1] (1:21:19 - 1:21:41)

Pricing. It's a good price. Definitely, price has lots of aspects.

I'm not going into that. But offering what Indian consumer wants. I think Amazon has, like he's saying that, convenience.

But that audience, even in bucket A, is very narrow.

[Speaker 2] (1:21:42 - 1:21:45)

What do you think of multiplexes? This is a good segue into a very interesting question.

[Speaker 3] (1:21:45 - 1:21:47)

I remember you owned a bit of multiplexes.

[Speaker 2] (1:21:47 - 1:21:57)

I still have. I've reduced my shareholding. But I have about 2%.

And I keep asking. I was on the board of Inox for a long time. Now they've merged.

[Speaker 3] (1:21:58 - 1:22:05)

So you should tell us this. You are interrogating us. I think you should also answer somebody.

You tell us what's going to happen with multiplexes.

[Speaker 2] (1:22:05 - 1:22:06)

I'll tell you truly.

[Speaker 1] (1:22:06 - 1:22:08)

What were your beliefs and why do you think it was rejected?

[Speaker 2] (1:22:09 - 1:22:20)

My tryst with multiplex companies started many years ago. Maybe six or seven years ago, I had a very bearish outlook of them.

[Speaker 3] (1:22:20 - 1:22:22)

Six, seven years ago, pre-pandemic?

[Speaker 2] (1:22:22 - 1:25:05)

Much, much before pandemic. I shorted them to begin with when say PBR was at 1300 bucks, 1400 bucks. There were a couple of policy changes which were happening.

The foremost of them being, it was in court that people will be allowed to bring outside food and water and drink it inside the multiplex and eat it. And food as an income source for multiplexes is very high, as high as 40-45%. Then it changed pre-pandemic when I went long these companies.

Because my reasoning changed to India too, like sir mentioned is growing. In terms of entertainment for a family of four for three hours at sub 1000 rupees in a safe air-conditioned environment, the alternatives were not meant. One could argue cricket is an alternative.

But I thought as India too grows, the relevance of multiplex will go up. And they also become like these distribution hubs, which I don't think they have up until now. But if people are going there so often, it gives them the opportunity to do other kinds of marketing, branding, advertising, all kinds of stuff.

Where I sit today, I'm confused. Like everything else in my life, I'm in, I'm shrouded in ambiguity on both sides. Because when I talk to people who say, say when I talk to somebody who's the CEO of Hotstar, like he's now the Bangalore guy, like Sajid has become the CEO, the ex Google guy.

So he would give me an outlook of why OTT will kill traditional cinema. But then I talked to somebody like UFO movies, which is also another company I've invested in, they manage the technology around projecting a movie on the screen. There, I start to think the number of screens available, the density of screens in India is still like, much, much lower.

Like, I would say in the US, there is one multiplex screen for 30, 40,000 people. In China, maybe for a few 100,000 people. In India, there is one screen for many, many hundreds of thousands of people.

And to a large part of India, watching a movie is still going, you know, that truck screen in the

villages, and then everybody gets together with no kind of choice as to what content they get to watch.

[Speaker 3] (1:25:06 - 1:25:21)

So for me, But on this last point, as Kishoreji was saying, like anywhere where you use the population number is somewhat, per X number of people has a lot of India 3, which skews this metric. How do you get to the right number?

[Speaker 1] (1:25:21 - 1:25:31)

Secondly, people believe that India 2 wants to come into India 1. I don't think so. Societally, they don't look down, they look down upon us.

[Speaker 2] (1:25:32 - 1:26:00)

I also think that's the right. I feel like we follow, or we try to follow on the path of the West in China so much, by thinking that everybody moving into cities, all of this is good for the and growth in all of that. I personally believe for many reasons, fragmentation is actually a model that could work better for today than it did for China 20-30 years ago.

So Nikhil, I want to say something on this multiplex thing.

[Speaker 1] (1:26:01 - 1:26:39)

You know, when mobile phone came into the picture, and everybody wanted to buy a mobile phone, where did the budget come from? They had to reduce some spend somewhere. And the biggest impact came on fashion.

And we were a part of the fashion business then. And people were changing phone in the first six months, everybody was changing phone much, much faster. Now it's slowed down.

So what has happened, if you look at the multiplex industry, that money of spend, which was supposed to go to multiplexes, they're paying to restaurants now. People are spending two and a half hours, family sitting together, friends sitting together and spending that one and a half thousand, 2000 rupees per head. And that money is clearly seen, people don't want to watch.

[Speaker 2] (1:26:39 - 1:27:37)

Can I ask you another question here? Like the listed restaurant chains, you take Jubilient, you take Westlife, take the franchises of big Western counterparts, like McDonald's, Burger King, KFC, all of that. They all command a significant premium to the market, right?

They trade at, let's say, they're earning 100 rupees, their valuation is 7000, 8000, in some cases, 20000, all of that. But the unlisted space in restaurants, what happens if somebody comes in and

aggregates, like we spoke about Saravana Bhavan, there are so many of these in India, right? If somebody comes and aggregates a bunch of these chains, where the total sales comes up on par with, say, the Western counterparts which have franchises.

Do you think there is arbitrage between the valuation of this to that? But they don't need money, no?

[Speaker 1] (1:27:39 - 1:27:48)

Why will you need money? They refuse to talk. Impossible, because if you're a good business, you don't need money at all.

[Speaker 2] (1:27:49 - 1:27:57)

But the question is, does a business often need money in order to scale? If that is the case, with more money… You don't want scale.

[Speaker 1] (1:27:58 - 1:28:22)

You all assume that everybody wants scale. I also thought so, similarly. We expect everybody…

From last one and a half years, I have spent lots of time on this. Making money businesses, especially in this restaurant, most of them make money, especially the good ones whom we know. 80% they don't want money.

They don't want to expand.

[Speaker 3] (1:28:23 - 1:28:24)

And why don't they want to expand?

[Speaker 1] (1:28:25 - 1:28:33)

They're simply saying that our quality will deteriorate. I don't want these headaches. I don't want to dilute.

They don't want.

[Speaker 2] (1:28:33 - 1:28:38)

I think there are two categories. There are a few people who are defensive, but I'm sure that people are aggressive also.

[Speaker 1] (1:28:38 - 1:28:42)

By the way, people whom, let's say, Bidyarthi Bhavan, go and talk to that owner.

[Speaker 3] (1:28:42 - 1:28:50)

And yeah, but you see the experience. Such a big brand. And you go there and you have 100 people standing outside.

That guy does not know how to monetize the asset.

[Speaker 1] (1:28:50 - 1:29:12)

It's the experience. There are the people going. But I'll tell you, why are temples created where there is no pain?

Because without pain, there is no gain. I go to weekly and every time get amazed. Sometimes it's 200 meter line on the building.

[Speaker 3] (1:29:13 - 1:29:17)

I go to the one in Whitefield, which is a much larger place. You will get to eat.

[Speaker 1] (1:29:17 - 1:29:20)

I understand. But Indira Nagar is like an icon.

[Speaker 2] (1:29:23 - 1:29:56)

I get the point you guys are making, but I like to believe that we live in an aspirational, capitalistic ecosystem. Not as much as what we think. But to a certain extent, we are capitalistic.

There's no debate on that, but it's not as much as we think. If somebody has the opportunity to expand and be a bigger winner in the cycle of capitalism, I think human tendency will persuade him in that direction eventually, at whatever pace, to whatever level of magnitude.

[Speaker 1] (1:29:57 - 1:30:07)

New food, new thing is showing, but I don't know the reason. I have my own experience in restaurant business. We came in too early like a Silsila movie.

We were a little ahead of time.

[Speaker 4] (1:30:08 - 1:30:09)

I like your movie.

[Speaker 1] (1:30:12 - 1:30:37)

So, we run most of the chain in Bombay. Bombay Blues, Noodle Bar, Copper Chimney. I got it.

We were a little ahead of time. Both ahead of time and how much money we lost. But now, I think...

Now, but the problem is the per capita expenditure of building a restaurant is very high, and the life of a restaurant... I'm talking about QSR now. I'm not...

QSR, then you have to be very successful. Yeah.

[Speaker 2] (1:30:39 - 1:30:43)

Is that why the franchise model with so much standardization do better?

[Speaker 1] (1:30:43 - 1:31:11)

Better than all this industrialization of... That's a QSR. Yeah. Not all QSRs in a way.

Most of it. Yeah, most of it. Let's say if I'll add Rameshwaram, for me will be the QSR, if I'm going to scale it.

But... That's how I'll see it. Yeah.

But it's... You see, Rameshwaram also gets an extra space outside for which he is not paying, where people are standing and eating. So...

[Speaker 2] (1:31:11 - 1:31:14)

I think there is a novelty attached to that. Whenever you see... You can't get that second place.

[Speaker 3] (1:31:15 - 1:31:18)

Like they say, they said in the beginning, crowd comes from crowd. Yeah. That's it.

[Speaker 2] (1:31:18 - 1:31:32)

It's so true. Like, if I had to open a restaurant, I'd just put 5-6 chairs inside and wait outside. That would probably give me more business than having 40 chairs in there.

In a weird way, that works? Never know.

[Speaker 1] (1:31:33 - 1:32:17)

But food is a very interesting... Indians are loving to discover new food. I'm telling you that this coffee chain, 3 years back or 2-3 years back, no investor is willing to invest because they believe that it won't work in India.

Now we shall see what happened. I don't... Even I don't know why it is.

But wherever these stores are opening, doesn't matter if it's Bangalore or Delhi or Mumbai, only it's 4-5 cities, they are going crazy. Still finding that pattern. It's not about that.

It's about people spending time. It's a social interaction. But earlier also, earlier nobody was believing it.

It's about at the verge of... And coffee, something is one of the by-product of whatever other activities you are doing.

[Speaker 2] (1:32:18 - 1:33:13)

And maybe sometimes the main activity, but you then get into the other activity. I agree with you 100%. I'm also like a small investor with him in Third Wave and Hathi Coffee and a couple of coffee places.

When I was reviewing coffee chains and I was trying to do it as objectively as I could, the difference between the West and India is in the West, people are going into a coffee shop to actually drink coffee. The culture of buying a coffee and walking, especially in New York, is such a big thing that the financials work out for them. Here, if you sell a coffee at 200-300 rupees and people have to sit there for two hours to consume it and you have to pay for the real estate, the numbers you look at it from a different light altogether.

So I don't think in that particular instance, especially in coffee, we can equate what happens here to what happens in the West, to your earlier example, because I don't think we will copy what they're doing.

[Speaker 3] (1:33:14 - 1:33:17)

So you're saying it's harder to make money here in coffee in India?

[Speaker 1] (1:33:17 - 1:33:29)

Very hard. 100%. Restaurants have just started making money in India.

Yeah, but they are started making money. But they are started making money. But QSR are making good money.

Good money. But early, early to say that. But let's see.

[Speaker 2] (1:33:30 - 1:33:34)

No one thinks about money now, right? How much money did you spend on your wedding?

[Speaker 3] (1:33:35 - 1:33:49)

On my wedding? I spent very less, yeah. This was like long ago, before.

When did you get married? I had raised any money. So imagine, where did I go and get married?

When did you get married? I got married in 2018, beginning. 2018.

That was recently.

[Speaker 1] (1:33:50 - 1:33:54)

Sujit? Not in 2010, but I was at that time 31 years old.

[Speaker 2] (1:33:56 - 1:33:57)

Where did you get married?

[Speaker 1] (1:33:58 - 1:34:01)

Delhi. My wife is from Haryana.

[Speaker 2] (1:34:03 - 1:34:22)

Would you like to say something about your personal life? Like, just you've seen so much in life. If you were to advise Vidit, who's new into this whole family, marriage, doesn't have kids yet situation.

He also has decided never to have kids. You also. No, no, I haven't.

At least yet. I don't know.

[Speaker 4] (1:34:22 - 1:34:32)

I'm asking a question. I also need some advice. Projecting, projecting.

Lost cause. Maybe Vidit, we'll ask him. We'll also ask him.

[Speaker 1] (1:34:32 - 1:35:04)

I personally believe, philosophically, life is a series of events. And you have to enjoy, relish, cherish every event which comes in. Some events will be very heart-pleasing and some events will be not so great.

But I think the fun is having all kinds of events. So if you look at my life, we grew at 30%. Life was unbelievable.

It was up, up, up only.

[Speaker 2] (1:35:04 - 1:35:49)

The lower side was much, much lower. This is like a tough question. I don't know if I should even ask it or not.

But in that 30% growth cycle, let's assume two or three things went wrong. Like, what do you think, I believe that in life there are two buckets of things. One you can control, another you can't control.

For what you can't control, there's no point making your head over it. Just as advice to us who are like entrepreneurs or budding ones and people around. What do you think went wrong?

What caused it? And if you had to do it over again, what might you change?

[Speaker 1] (1:35:50 - 1:37:09)

So I think as a personality, I'm a little impulsive person. So what went wrong is basically growing on debt and not building a strong balance sheet. So that is one thing which was apparent.

My daughter just started studying Shakespeare. So other day, some 10 days back, she came out of the class and she called me up. I had one of my best day of my life.

I studied a concept of storytelling called the tragic flaw. So every character with Shakespeare had a flaw in that and he used to highlight that flaw in that character. Then I started looking at Ramayana, Mahabharata and everybody had a flaw.

But flaw in India was never highlighted as much. We were taught that everybody is perfect. So everybody has a fatal flaw.

I converted this tragic flaw into a fatal flaw. And I started analyzing my fatal flaw. And I was able to discover a lot.

And everybody has that flaw. And I believe every entrepreneur has some flaw which I think which should be taught. And if somebody can work on it, they'll make less number of mistakes and will be more successful.

So I've gone through flaws and flaws and flaws.

[Speaker 3] (1:37:11 - 1:37:13)

So how do we discover that fatal flaw for us?

[Speaker 2] (1:37:13 - 1:38:40)

Psychology says this. If you go through Jung, Freud, Adler, much after Shakespeare's time,

obviously. But we are all flawed, right?

We're all insecure. We're all not altruistic like we might like to believe at some level or we might like to portray. There is one true us.

There is one persona of us which we have created in our own mind which we believe is not flawed. That persona. And we spend so much time and effort defending that persona and denying our flaw that it makes life more complicated even for us and for people around us.

So different people call it different things. I think people like Jung and Adler call it a shadow. It is driven by many things like your childhood has such a big impact on it.

What you did between ages 3, 4 to 8, 9 will have so much to do with what your shadow is today. The financial condition of your parents, the relationship between your mother and father, your relationship with your siblings and also innately how you're born as a person. So every psychology book kind of tells you that recognize your flaws.

They in fact help you out by doing some categorization. This could be a certain kind of person. That could be a certain kind of person.

But Nikhil, this should be taught to entrepreneurs.

[Speaker 1] (1:38:41 - 1:39:04)

And you can find, like I have a very simple philosophy of life that music has 7, there are 5 primary colors and there are 9 recorded emotions of human beings. Life is not so complex. So if you look at the flaws of entrepreneurs, I think it can be defined very well.

And there are people like me or many people like us who have made a lot of mistakes and how can it be recorded and taught.

[Speaker 2] (1:39:04 - 1:39:59)

Especially for entrepreneurs, our other problem is that we all have gotten lucky in the cycle of life. See, we're all sitting here outside of because we've gotten very lucky, right? I mean, Vidit is brilliant.

Sajid is brilliant. You're brilliant. But at some level, luck has played a disproportionate part of how we arrived to be where we are today.

But the problem, especially in startup crowds, is because somebody goes from A to Z in 2 years, in 3 years, in 5 years, in 6 years. You don't start to take yourself so seriously, but the scale of everything you're saying and doing is so much bigger that what you were saying and doing 5 years ago today will be looked at through a completely different lens. So even for that reason, I think what he said is so true that we need to like, you know, introspecting is the hardest thing in

life, maybe.

[Speaker 3] (1:40:00 - 1:40:04)

And that's what I was going to ask, like, how do you find these fatal flaws? I'm sure like you now have some ways.

[Speaker 1] (1:40:05 - 1:40:24)

After destruction, you can easily find it. Secondly, you're open to it. I think we always created an organization which allowed dissent.

So that was not the challenge. Secondly, we never kept along ourselves, our echo chambers. Never in our life.

So everybody knows your weakness. Anybody who's around you will know your weakness.

[Speaker 3] (1:40:24 - 1:40:25)

You should ask them.

[Speaker 1] (1:40:25 - 1:40:28)

You don't know how to. No. They will never tell you your weakness ever.

[Speaker 3] (1:40:28 - 1:40:30)

Yeah. But how do we get it out then?

[Speaker 2] (1:40:31 - 1:41:00)

I think the first thing to do is normalize having flaws. The problem with social media and anonymity, what it has done is people go out there and say **** about everybody. Like, one should not care.

But in many cases, you find yourself caring. But until we come to terms with the fact that you are flawed, Sujeet is flawed, he's flawed, I'm flawed, until we realize that we each are, and then we realize that we all are, I think people will be scared and shy of coming out with their flaws.

[Speaker 3] (1:41:00 - 1:41:21)

By the way, I have one disagreement, which is I believe most entrepreneurs are very paranoid also. So they believe something's going to go wrong at all points in time. And that's why I feel like if you tell them there's something wrong, I can do this.

And basically, fixing this would mean something will grow and then all of that happens. But I

genuinely feel people are… This is not what the flaw is.

[Speaker 2] (1:41:22 - 1:41:26)

He's talking not about paranoia. He's talking… I'll give you an example.

[Speaker 3] (1:41:26 - 1:41:37)

No, he was saying… I'm saying even if people don't acknowledge they could have flaws, I believe that is not true. I believe most people are paranoid.

They just have blindside that no one exposes them to. I'll give you an example of a flaw.

[Speaker 1] (1:41:37 - 1:42:54)

I think just I wanted to add to that point when he was saying that there are people and as an entrepreneur, what you do, I focus so much on work, your circle gets shrinked. And then you get surrounded by those people who can say that might be they know, but they never wanted to share. Having those circles where people can tell you, it's very hard, you can tell you, talk you frankly, or can give kind of feedback, some suggestion, and you should be open for that.

Because you give a reaction, the channel will going to close. I think those feedback channels are very important. That's what…

But it's an investment. It's an investment, it automatically doesn't happen. But every entrepreneur, I personally believe can easily learn it.

They're open to ideas and thoughts. So why not do this? No, but sir, it's very hard when you…

It's hard. Comes to talk about, hey, somebody, every magazine, every corner, family member, for mother, father, everybody's saying you are perfect. You are…

There's no such thing as perfect. No, no, but that's what they say, right? Suddenly a person is saying, no, you have an issue.

And your reaction controls that feedback will come again or not. If you give a different kind of reaction… I think it's our education…

You are done talking. But our education also look at Rama. Rama is the perfect human being.

[Speaker 3] (1:42:55 - 1:42:55)

Yeah, that's true.

[Speaker 1] (1:42:56 - 1:43:09)

But he was also flawed. It was all about righteousness or… But how to know?

I think the question was, how to control that? People like, we have to go to… He understood the subject in one second.

He added up five things more. There'll be people like him who will…

[Speaker 2] (1:43:10 - 1:43:20)

Psychology is the best teacher. Like, I'll tell you personally for me, right, in the last three years, I've stopped reading all books on finance, economy, which I used to spend time reading on growing up.

[Speaker 1] (1:43:20 - 1:43:21)

History and psychology.

[Speaker 2] (1:43:21 - 1:43:32)

I just do history and psychology. I keep telling him. Like, it's incredible how you will start looking at yourself from a different lens.

Because we all spend…

[Speaker 1] (1:43:32 - 1:43:32)

Mythology.

[Speaker 2] (1:43:33 - 1:44:05)

Totally, yeah. I'm adding. We took mythology as a subject.

Okay, digress again. ONDC. Who's going to explain it?

Is it life-changing for anybody trying to build a product in e-commerce? What do you think will happen to ONDC going forward? I think you, especially more than all people, because you have these tiny mom and pop kind of stores who come specifically sell on me show.

Can you explain?

[Speaker 3] (1:44:07 - 1:44:11)

Yeah. So, for people who don't know ONDC, ONDC basically…

[Speaker 1] (1:44:11 - 1:44:15)

We got a lesson today, a little bit, yeah. We got this meeting when you were late. We were

watching that.

[Speaker 3] (1:44:16 - 1:45:14)

Oh, okay. So, I'm saying it's a government initiative trying to onboard all kinds of small businesses on a platform and make all kinds of small businesses, be it kirana, etc., basically come online and really unbundle the entire value chain, right? I really believe the vision and the mission there is quite powerful because you still don't find any panwari, etc., selling products online around you, right?

Very, very… India has about 60 million small businesses. About million, million and a half only sell anything online.

So, now you can say eventually how many will do or don't do, I don't know. You look at Southeast Asia, e-commerce there started four years after India. About 15 million people who sell online just in Indonesia.

India is still million, million and a half. So, I think there's a problem to be solved. I hope that ONDC is the answer.

We have integrated with them. Hopefully, that will solve, but still very early.

[Speaker 2] (1:45:14 - 1:45:26)

In very simple words, like if you were to dump it down for me, if I am a seller who makes soaps, okay? I'm selling on Mishot today. After ONDC, how does my life change?

[Speaker 3] (1:45:26 - 1:45:45)

So, I think it's more inter-op. So, basically they say it's like the UPI of e-commerce. It's supposed to be that.

Which is anyone, you can upload your catalog on any app and it will start to appear on all other apps which are integrated with ONDC. So, that's how it's supposed to be. It's an inter-operable e-commerce platform.

[Speaker 2] (1:45:45 - 1:45:51)

I was putting it in Mishot till today. Tomorrow when I put my soap on Mishot, will it automatically show up on Flipkart?

[Speaker 3] (1:45:52 - 1:45:55)

It should, if everything is on ODC. That's the goal.

[Speaker 1] (1:45:55 - 1:46:05)

Sir, I have a very, I want to ask you a question. So, you all believe that in India, people are still hungry and thirsty. They are not getting anything.

They will start getting from that.

[Speaker 3] (1:46:08 - 1:46:14)

I don't know. Cash supply follows demand. The problem is this, right?

[Speaker 1] (1:46:14 - 1:46:15)

Supply follows demand.

[Speaker 3] (1:46:16 - 1:46:19)

Yes, I am saying that where there is money, there is demand. So, supply follows demand.

[Speaker 1] (1:46:19 - 1:46:26)

But the one who has to consume 200SQ, he will get it from somewhere at home. He will get it somewhere.

[Speaker 3] (1:46:27 - 1:47:16)

I'll give you an example because this happens so gradually. But this happens so gradually, people don't understand. But if you look at pandemic, where things happened like very quickly, right?

So, suddenly for a year, nothing was selling offline. And you meet any small business in India, like people are like, oh shit, people used to come to me and say sell online and I did not do. And now I can't just put food on the table in my household, right?

So, I'm saying at that point of time, every small business in India realized they want to be online. And to some extent, by the way, informally, a lot of them are online because they sell on WhatsApp. So, you can say that Panwari also sends you whatever you want on WhatsApp, right?

Are they selling online? Maybe yes. But still, they're quite hidden in some unstructured platforms.

They haven't come online. And they can't get access to a lot of demand that people who are selling online are getting to.

[Speaker 1] (1:47:16 - 1:47:18)

Like he was saying that it's a digitization. It's shifting.

[Speaker 3] (1:47:19 - 1:47:24)

So, it has to happen. But someone has to enable and somehow there have been lots of roadblocks that haven't enabled it.

[Speaker 2] (1:47:25 - 1:47:51)

So, let's assume it happens. Let's say I'm selling soap in Mysore. Till date, I only had a relationship with you.

Correct. So, I was only selling on your platform. Today, suddenly the product shows up in Amazon, Flipkart, everywhere.

How does the use case for an e-commerce platform change then? Because then Amazon has less control over what all products are listed under them.

[Speaker 3] (1:47:53 - 1:48:27)

Yeah, and that's the unique thing about it. A lot of those design principles haven't been thought of yet. Because everyone has a different supply chain, right?

Like if everything is available everywhere, then who stands for what? What does a brand stand for? Like because everyone uses the same supply chain.

So, the product will come in the same amount of time. If everything comes the same amount of time, then how will Amazon build a different identity than anyone else? So, the problem is like no one has thought about it.

Even people have designed it. Still very early. So, I don't know what will happen there.

[Speaker 2] (1:48:28 - 1:48:30)

So, it's a fair explanation, right?

[Speaker 3] (1:48:31 - 1:49:11)

So, because if everyone is the same, then how do people stand for different things? And why will you have multiple apps? And then who will really do it?

And which is the big problem. Payments are same on every app. It's not that if I do payment with one app to the other, they stand for different things.

Payments is a commoditized one simple thing. Products are not. Like it's two different stores you go to cannot be exactly the same.

They stand for different things. What their merchandise, what they talk about, what their

marketing line is. They're very different things.

So, if you try to commoditize storefronts or marketplaces, it's never been done before. So, how does it really come to life? No one knows.

So, I don't have a good answer to this question.

[Speaker 1] (1:49:13 - 1:49:21)

Even government is not very clear. They're trying. They're bringing the people together.

But let's see everybody have their own hidden agenda.

[Speaker 2] (1:49:23 - 1:49:57)

So, in India, investing into e-commerce, there aren't many opportunities. Flipkart is owned by Walmart. They're not listed here.

One can argue you can buy Walmart shares in America, but that would diversify you too much. The only option I would say arguably is Nika. Where you can get a piece of the e-commerce pie in India, in the listed space.

What do you guys think of Nika? The business model of Nika. And what do you think will happen to Nika going forward?

I know they're your competition, but...

[Speaker 3] (1:49:57 - 1:50:07)

No, we're not, by the way. I believe it's a very different business. Like we're a platform, they're a brand.

So, I think it's... Are they a brand? Because they're not...

They're distributing third-party products.

[Speaker 1] (1:50:07 - 1:50:17)

But still, they are a brand. They're a brand. Well, look at Amazon as a brand.

It's a brand. Flipkart is a brand. Nika is a brand.

Mishra is also a brand. They've worked on building the brand.

[Speaker 3] (1:50:17 - 1:50:28)

So... Yeah, but still, my thing was like they... A lot of what they do offline, online, the kind of

products they sell, a lot of products are exclusive.

So, basically...

[Speaker 2] (1:50:28 - 1:50:45)

But vast majority of what they sell. Let's say they do 4,000 crores of business a year. Let's say 5% margin kind of business.

Operating margin. Or net margin 5%. But most of what they sell is third-party products that they are distributing.

[Speaker 3] (1:50:47 - 1:51:13)

That's why I think my understanding of the business could also be limited. But from what I've seen, how they've approached it, a lot of that business has been built by getting supply that you won't get everywhere. Right?

So, they've been much more focused on going very deep into that particular category and making it happen. If, by the way, you can get the same supply that you have in Nika, you can get an Amazon and they'll ship the next day. Why won't you buy from there?

It should not happen, right? But it does not.

[Speaker 2] (1:51:13 - 1:51:20)

If somebody is buying, are they betting into the story of India 2 growing significantly and India 1 growing as well?

[Speaker 1] (1:51:22 - 1:51:37)

But a woman child is getting into beauty even in India 2. Very significant. There is some budget of the family going into beauty.

Beauty as a category is also growing significantly.

[Speaker 2] (1:51:37 - 1:51:39)

That's actually a very interesting question.

[Speaker 3] (1:51:39 - 1:51:43)

But India 2, by the way, in terms of beauty, ends up being lipstick, nail polish or foundation.

[Speaker 1] (1:51:44 - 1:51:46)

But that's also 3 SKUs, not small.

[Speaker 2] (1:51:48 - 1:52:37)

How does one evaluate something like Nika? How does one benchmark? I'm asking because you both are in e-commerce.

You've had Flipkart Udaan. You're having a show. If I'm an investor trying to figure out I should invest in the company.

Like, I think Falguni is an exceptional entrepreneur. I know her. And I think if anybody can pull it off, it's possibly or likely her.

She's had an exceptional past and great management and all of those things. But the broader question is, how big is the e-commerce pie in India? And are we betting based on the valuations of whatever I mentioned, are we betting that India 1 and 2 will grow to X percentage in the next 5 years or 10 years?

Is that the bet we're making?

[Speaker 3] (1:52:38 - 1:53:07)

Yeah, I don't know the answer to that question. And I won't even attempt. But what I know is, I don't think that company is a good representation of India e-commerce.

It's very narrow in a category and very narrow in terms of the customer base they serve. Their average order value, if I remember, was some 1500, 1800, 2000, something like that. It's not less, yeah.

But it's not... It's quite high. It's very high.

So my point is, it's super high. So the segment exposure and category exposure cannot be a representation of the e-commerce market. That's what I believe.

[Speaker 2] (1:53:07 - 1:53:12)

Okay, let's talk about Mishra. Let's make it more interesting. What is your valuation today?

[Speaker 3] (1:53:13 - 1:53:16)

Valuation today? Our valuation, this is the last round, it was about 5 billion.

[Speaker 2] (1:53:17 - 1:53:21)

Okay, and give us some metrics, like some numbers. I mean, whatever is publicly available.

[Speaker 3] (1:53:21 - 1:53:34)

Yeah, something we have about 14 crore people who buy from us every year, about a million small businesses. In the last one year, we did about 1 billion orders, which is about 100 crore. That's about 100 crore orders in the last 12 months.

[Speaker 2] (1:53:35 - 1:53:38)

Those are insane numbers, by the way. 14 crore people buying, huh?

[Speaker 3] (1:53:38 - 1:53:52)

Yeah, and by the way, we sell across. So horizontal platform, people come and sell anything they want. So about half is apparel and half is non-apparel.

And that includes kids, beauty, personal care, your electronics, home and kitchen.

[Speaker 2] (1:53:53 - 1:53:55)

Like the gross sales that happen on...

[Speaker 3] (1:53:56 - 1:54:05)

Yeah, so about like last 2020 calendar year was about four and a half, quarter to 5 billion. So which is last year.

[Speaker 2] (1:54:05 - 1:54:12)

And what is the margin on the top level? Out of this 5 billion you sell, on average, how much margin do you have?

[Speaker 3] (1:54:12 - 1:54:17)

Don't go below that. That's it. Why do you want to open my P&L in front of me here right now?

[Speaker 1] (1:54:18 - 1:54:26)

Right, right. I think their ticket size is a challenge, right? Dealing with that kind of customers.

Right, but the ticket size will be less, right?

[Speaker 3] (1:54:26 - 1:54:41)

320. And I think that's the problem we have to solve. That's the biggest problem.

Correct. What would that be for Flipkart? Won't be much higher.

Again, 1200-1300. Maybe higher. Because the electronics, mobile phone takes the average order value quite high.

[Speaker 1] (1:54:41 - 1:54:43)

Plus, they have a lot of Mintra.

[Speaker 2] (1:54:45 - 1:54:54)

We didn't answer the Nika thing. What are the final thoughts on a company like Nika? Because I don't have another listed player in mind.

[Speaker 3] (1:54:54 - 1:55:02)

What's your interest? No, I said, I don't know about the company, but I don't believe it represents India e-commerce.

[Speaker 1] (1:55:02 - 1:55:44)

But that's okay. I believe it's picked up the right category at the right time. And secondly, they build their own strength of the content to commerce.

I think it was a very interesting way they build it. There are negatives that they have attracted attention and too many players are coming in. They need to build their own brand and the ecosystem, which they might be doing.

They went into too many things now. They went into B2B. But I was surprised that even there, I never thought that beauty and fashion as an adjacency will work as much.

But Nika is not doing bad on fashion.

[Speaker 2] (1:55:45 - 1:55:52)

Yeah, they just launched that Aloe Yoga. They're killing that brand abroad.

[Speaker 1] (1:55:53 - 1:56:49)

It's doing reasonably quite okay. If they're able to build adjacencies, it becomes an interesting story. I think one thing you have to give it to them.

They have built the business with the discipline, unit economy so that they're going to market and definitely the market believes in their IPO. Like everybody, they're still holding a very high given the comparison to their revenue. I think only problem is how to expand their time.

Is it the similar? Because the category they are in, it's already niche. And build as a commerce, so it's very hard to say that it's a full-fledged e-commerce.

I will not call it as a platformized e-commerce. It's a vertical. Definitely, they are building other verticals also adjacency, but it's a difficult journey.

Let's see.

[Speaker 2] (1:56:49 - 1:56:57)

If I had to figure out e-commerce, let's say I have 100 rupees to invest and I want to invest in e-commerce. Who should I bet on?

[Speaker 3] (1:56:58 - 1:57:15)

It hasn't come yet. It will come, I feel. Even now, more and more of what's going to come in the public market is what people say.

Now, First Cry, someone is saying we'll go public. We'll be very similar. Like one sector, certain...

[Speaker 2] (1:57:15 - 1:57:18)

Do you think that will be the key curation with ONDC, with many platforms?

[Speaker 3] (1:57:18 - 1:57:42)

No, I think that's why what's happening is these value-adding brands are going online. Platforms will come. And I don't know.

Both the other platforms, Walmart and Amazon, they will list in India. Unlike here. So, hopefully, we will do it at some point in time.

But I feel like that the e-commerce exposure that you keep referring to, unless you take parts of all of them, say that by doing everything, at least we'll have some exposure.

[Speaker 1] (1:57:42 - 1:57:50)

Otherwise, all of them are very... You see, Jio is there. They have a big aspiration.

So, although Tata, Noon are doing something, that is also happening.

[Speaker 2] (1:57:50 - 1:57:54)

Should I be in e-commerce? Or is the market too saturated?

[Speaker 1] (1:57:55 - 1:57:56)

It's a career.

[Speaker 2] (1:57:56 - 1:58:00)

For to start a platform? As a career. Start a platform or to be a merchant?

[Speaker 3] (1:58:00 - 1:58:42)

There's no other option but to be a part of it. Being part of e-commerce, the only way is not to be a platform, right? Like now, all the D2C brands are part of e-commerce.

And everyone... So, the beautiful thing that has happened because e-commerce platforms is now personalization and localization. That can happen.

It was not possible ago. So, now people are like finding very niche and basically serving them. So, you only get discovered with a particular search term and people buy you again and again.

So, I'm saying lots of these micro D2C brands are possible. So, I'm saying being part of e-commerce, everything that you do around selling digital products is being part of e-commerce. And I believe it will only accelerate because there's no other way anymore.

[Speaker 2] (1:58:42 - 1:59:35)

In our world, right? Like, especially us three living in Bangalore, we're all from this. We're all products of a startup bubble which started last decade.

And I think to be fair, like we were talking about knowing your flaws. I think they're cognizant to the fact that we are byproducts of a startup bubble. What happens to e-commerce once the deep discounting in a way or the marketing money which was funded by cheap cost of capital abroad goes away?

Like, how do things change? Let's say there is no funding available for growth for Indian e-commerce companies in the next three years and they have to survive with the money they have left. How does each one change?

[Speaker 1] (1:59:36 - 2:00:32)

My mind is a very hypothetical question. But I think, look, when you're building a business, you know that this much money you need. It's a plus minus, you can say that.

I think one thing you can say that, hey, growth is the right matrix. If you are growing, then investing money, even though, let's say, profitability comes after, let's say, four or five. I don't agree, I don't agree.

Hear me out, hear me out. I understand. But if you are with those units in your boundaries, you are capturing the markets there and growing.

I think I am that kind of a student where I'll support that. But burning money and hurting the company, like you burn money, you get the GMB. But your unit economics is not holding.

You should not do that. Because it will kill your company.

[Speaker 2] (2:00:32 - 2:00:37)

But you're also making an assumption that this tap is open, where you continue to get money to burn money.

[Speaker 3] (2:00:37 - 2:00:42)

And by the way, unit economics, I also feel like, why unit economics? Why not EBITDA?

[Speaker 1] (2:00:43 - 2:01:28)

I'll tell you why. And it's a great thing. Of course EBITDA.

Everybody is aiming for EBITDA. I'm not contesting that. So I'm saying that has to be positive.

I think you should make money. Some cohort, let's say, growth is an important matrix also. That's the problem.

I've been a growth story in a way. And I don't think that holds true. Because I'll tell you why.

I'll explain you why. After a point, the growth comes at an extraordinary cost. And that's what I'm saying.

That we should not do that if it's coming at an extraordinary cost. You won't even have to know. You will be lost in that journey of growth.

You want it at any cost. You want to be the leader in this category and the space which you belong to. I think that is so true.

[Speaker 3] (2:01:29 - 2:01:38)

But sir, you are so many people. By the way, I believe, so my opinion is, there are multiple things. There are one stage of the business, especially in e-commerce.

You need to cross a critical mass of scale.

[Speaker 1] (2:01:38 - 2:01:39)

Yeah, that growth is required.

[Speaker 3] (2:01:39 - 2:02:09)

And unless you get there, if you try to become profitable, too soon, you get into a negative spiral. It's okay. Because people take the same lesson, apply across stages.

I don't believe it works. I have to get to critical mass. But after that, I believe we need to be

profitable.

Of course, I'm not. Right? So our goal is, I think by the end of this year, we'll become profitable.

Because if we don't do it now, when will we do it? We have 5 billion in sales. Now, you know, make sure that the business becomes profitable.

But if I tried to do it four years ago, I would have made a big blunder.

[Speaker 1] (2:02:10 - 2:04:06)

So Nikhil, I have a very interesting take on technology. So I always believe that technology does three or four things, which are different from the traditional or the old economy. One is it reduces space, reduces time, and creates social interactions.

And like in fashion business, on digital commerce, you can do 10 stop turns, where in physical, you can't do more than three, three and a half. You can work with less number of people. You can institutionalize a lot of processes.

And then social interaction is something digitally, you can build a lot and acquire customers at a much, much lower cost than what physical. Because in physical, the old economy used to advertise for everybody. Here you can target, you can do a lot.

So it has a lot of advantages. Anybody who will take advantages of all these things will going to be the winner. And constraint can create companies.

Yeah, yeah, yeah. Of course. I am.

And lastly, I also believe that unless you are getting into, unless you don't have x amount of value addition done, you are not in a business only. Yes, yes. In e-commerce also, if you'll see a scale business, these are scale business.

And that's why I was not able to answer on the NICA, because I was not imagining how, where the scale will come from. Because you know, supply chain, the same thing goes on, because those are the principles where more and more scale, you can reduce the cost. I think building those capabilities where sourcing is a big thing in e-commerce, let's say.

But retailing is sourcing. No, no, no. If I'll crack sourcing, and definitely I'm not talking about the going and having, doing that math on sourcing rather than buying, keeping that inventory, and then distributing and saving the money.

I think that's a loose match. And it will only come on certain scales when you involve on the production side of it.

[Speaker 2] (2:04:06 - 2:04:14)

Interesting. Any final words for anybody looking to get involved in e-commerce? Final thoughts?

[Speaker 1] (2:04:22 - 2:04:50)

So when I look at D2C brands, because D2C brands are something like you are living in a neighborhood and you opened a shop. I think you start from there and from there you grow and open to a much, it allows you to open to a much, much larger audience. So that's the way forward.

You can't now go and open a shop below your building. It's great to get into digital commerce. And if you're lucky and if you do well, if you're passionate, I think it's a great business to be in.

[Speaker 3] (2:04:52 - 2:05:31)

I believe there's no other way, right? So I believe, as I think we started in the beginning, the definition between e-commerce, commerce, offline commerce are getting blurred more and more. So if you want to do anything in commerce, you have to basically figure out how to make e-commerce work.

This holds true for anyone who's starting a business today. So I think if you want to create value, I think you will become a part of this. So I think instead of asking, should I become part of this?

Question is, what do I need to do to really become successful at this? And I believe that will happen. Like social, figuring out influencers, figuring out everything else, figuring out marketplaces.

[Speaker 1] (2:05:32 - 2:05:49)

I think contrary, it has integrated them. Because you get the same product, same thing. Earlier, when people defined that when offline, hey, you'll get something in Delhi or in Mumbai or in big cities, you'll not get in tier two or in...

Now e-commerce made it, every product is available everywhere.

[Speaker 2] (2:05:49 - 2:05:54)

We all agree that's become a very relevant part, right? Figuring out solution to sell anything.

[Speaker 3] (2:05:57 - 2:06:34)

So I think if you are doing commerce, online will happen for sure. Some people will do hybrid as well. But I'm also seeing...

So for example, 40% of sellers on Meesho, are online only sellers. They don't sell anywhere else. So they have basically, they became entrepreneurs for the first time, because they figured out,

hey, I can go on this platform.

I know how to merchandise well, how to price well, how to figure out what trends work on this marketplace and so on. So people are creating businesses, basically. So I think that will happen more and more.

Lots of online native sellers will come and they would have never known what does it mean to sell offline.

[Speaker 1] (2:06:34 - 2:07:52)

I believe, I can only find the similarity when we have started, let's say 2007-2008. The internet at that time was not even the main channel. Only 8 million people have the broadband and the internet access at that time.

But I think taking that point that the internet is the most powerful thing and people have evolved. Like social, I believe the 20-year-old guy will understand much better than me. And because when we have to learn, talk to him.

And finally, commerce definitely doesn't matter which channel, but it will going to happen and adopted in a most evolving way. I believe the social influencers and all are a great channel. How to get use of that in, look, I'm not talking about supply chain, I'm not talking about inventory.

Those are different. If you wanted to transport one physical goods, those will come into play. And somewhere it's solving or solved, it's evolving in own pace.

But getting into the consumer side of it, where the consumer's minds are, be part of that and see how one can do those commerce transaction, how to influence. I think that's the advice. And new channels already are emerging.

[Speaker 2] (2:07:53 - 2:07:58)

Super. Thank you everyone for watching. Thank you.

Thank you Kishore, Vidit and Sujit. Thanks. Cheers everyone.

[Speaker 1] (2:07:58 - 2:07:59)

Thanks for hosting us.

[Speaker 2] (2:08:00 - 2:08:09)

Hi, I'm Nikhil. Thank you for watching the podcast. Let us know who your favorite guest has been and who you'd like to watch next.

Thank you.